INDIA | BUILDING MATERIALS | CEMENT

Cement Sector Initiation of Coverage

Ambuja Cements Ltd | UltraTech Cement Ltd

Business Analysis and Valuation | Valuation date 31 March 2026

Ambuja Cements Ltd	NSE: AMBUJACEM
SELL	Value Rs 99 | Price Rs 401 | −75%

The difficult-to-value name. Consolidated basis, ten-year explicit forecast. A third of the capital base is acquisition goodwill; economic value added is negative in nine of ten forecast years.

UltraTech Cement Ltd	NSE: ULTRACEMCO
SELL	Value Rs 5,024 | Price Rs 10,745 | −53%

The easy-to-value name. Ten years of audited standalone history, five-year explicit forecast. It does earn above its cost of capital — but not enough to support 3.3 times invested capital.

Contents

How to read this document

Every left-hand page carries the argument. Every right-hand column carries the evidence for it. Exhibits are numbered A1–A16 for Ambuja, U1–U14 for UltraTech and C1–C6 for the comparative appendix, and each is reproducible from the accompanying Excel models.

Part I

Ambuja Cements Ltd

The difficult-to-value name. A company that has bought a great deal of cement capacity, earns very little on it, and is priced as though it already earns a great deal.

Ambuja Cements Ltd

NSE: AMBUJACEM | BSE: 500425

SELL Value **Rs 99.4** | Price Rs 400.90 | −75.2% | Consolidated

1 Investment case and recommendation

We initiate on Ambuja Cements with a SELL and an intrinsic value of Rs 99.4 per share against a traded price of Rs 400.90. Five discounted cash flow methods — FCFF, capital cash flow, adjusted present value, FCFE and economic value added — reconcile to that figure to the last paisa. The gap to the market is not a rounding question or a discount-rate question. It is a question about returns.

The central finding is arithmetic rather than rhetorical. Return on invested capital including goodwill is 4.6% in FY2026-27 and reaches only 8.7% by FY2035-36, against a weighted average cost of capital of 11.36%. Economic value added is negative in nine of the ten forecast years. When a company earns less on capital than capital costs, enterprise value sits below invested capital, and that is precisely what this model produces.

1.1 Three things explain the return

The plants are underworked. Capacity utilisation is 67.9% against 82% at UltraTech. Ambuja owns 109 million tonnes of capacity and sold 74 million tonnes. A large asset base is being carried by a smaller volume than it was built for, and fixed costs are spread thinly as a result.

Unit economics are weak. EBITDA per tonne is Rs 886. UltraTech's core assets earn Rs 966 and the wider peer set earns more. The gap is concentrated inside the standalone parent, which runs an 11.7% EBITDA margin while the subsidiaries run 23.3%.

A third of the capital was bought, not built. Acquisitions left Rs 22,979 crore of goodwill and other intangibles on the balance sheet — 34.2% of invested capital. That is capital shareholders paid for and must earn a return on. Strip goodwill out and ROIC improves from 4.6% to 7.0%, which measures the plants but flatters what shareholders actually earned.

> **The one number that matters**
>
> To justify Rs 400.90 the market must underwrite a terminal return on invested capital comfortably above 15%, sustained in perpetuity. Ambuja has not earned above its cost of capital in either year of consolidated history the annual report provides.

1.2 What we already give the company

This is not a bearish forecast dressed as analysis. The model assumes utilisation climbs from 67.9% to 85%, EBITDA per tonne rises 70% over ten years from Rs 886 to Rs 1,502, the standalone margin more than doubles from 11.7% to 19.0% as the Sanghi and Penna integrations complete, and capacity grows from 109 to 133 million tonnes. On those assumptions the value is Rs 99.4. The forecast is generous and the answer is still a quarter of the price.

2 The business and how it is put together

Ambuja Cements is the Indian cement arm of the Adani group. At the valuation date the group comprised the standalone parent — which itself absorbed Sanghi Industries and Penna Cement by amalgamation — together with a 50.05% holding in the separately listed ACC

Exhibit A1 Football field: every method against the price

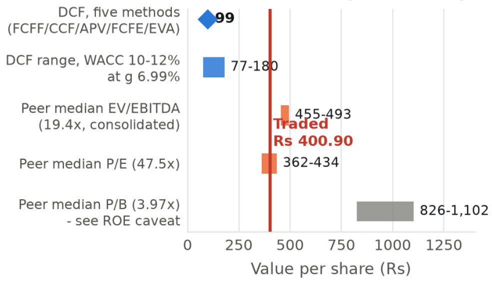

Exhibit A1. Ranges are the model's own outputs; peer multiples are applied to Ambuja's consolidated FY2025-26 EBITDA, normalised PAT and net worth. Source: authors' model; peer annual reports; NSE close 30 March 2026.

Exhibit A4 Return on capital never reaches its cost

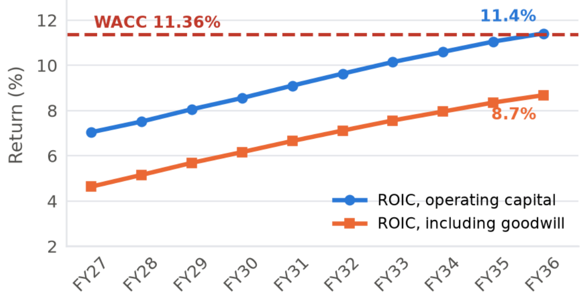

Exhibit A4. NOPAT is EBIT taxed at the statutory 25.168% throughout; the reported effective rate is negative and is never used. Invested capital is measured on opening balances. Source: authors' model.

Exhibit A5 Economic value added is negative for nine of ten years

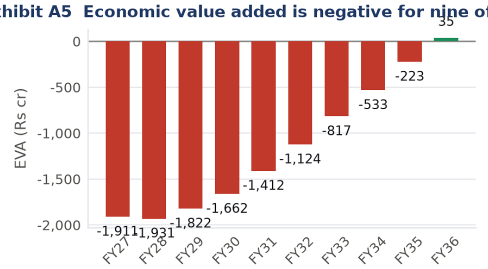

Exhibit A5. EVA is NOPAT less a capital charge of WACC on opening operating invested capital. It turns positive only in the final forecast year. Source: authors' model.

Ltd and majority holdings in Orient Cement and others. Consolidated capacity was 109 MTPA against a stated target of 119 MTPA, and consolidated cement sales volume was 74 million tonnes on revenue of Rs 40,656 crore.

2.1 Why this valuation is consolidated

Ambuja standalone carries 61.6% of group revenue but only 44.7% of group EBITDA. The parent runs an 11.7% margin; the subsidiaries run 23.3%. The weak assets — Sanghi and Penna — sit inside the standalone entity, while the better assets, ACC and Orient, sit outside it. A standalone model would value the worse half of the business and ignore the better half, while the market capitalisation prices the whole group.

A category error worth avoiding

Dividing the group market capitalisation of Rs 99,095 crore by *standalone* EBITDA of Rs 2,930 crore prints an EV/EBITDA of 34.0x and is meaningless. Adding the non-controlling interest of Rs 12,499 crore to enterprise value and dividing by *consolidated* EBITDA of Rs 6,559 crore gives 17.0x. That is the pairing used throughout this report.

2.2 The forecast is a build-up, not a single margin

Consolidated revenue is built from physical capacity times utilisation times realisation per tonne, which disciplines the forecast against the plant the company actually owns. That consolidated revenue is then split into the standalone parent and the subsidiary block using the FY2025-26 revenue share of 61.6%, and each block carries its own margin path. Consolidated EBITDA is the sum of the two blocks, never an assumed group margin.

2.3 The merger changes the share count, not the economics

ACC, Orient, Sanghi and Penna are being merged into Ambuja. Pre-merger, the non-controlling interest of Rs 12,499 crore is deducted in the bridge and the value is divided by today's 247.18 crore shares. Post-merger, the minority is acquired and the share count rises roughly 13.7%. Both routes should give a similar answer, and they do: Rs 99.4 pre-merger against Rs 132 post-merger, the difference being the discount at which minorities are being bought in.

Open item

The swap ratios and the 13.7% dilution reached this model through broker research, which our sourcing policy does not admit. They must be re-sourced from the scheme filing before the post-merger figure is relied upon.

3 Industry context

Indian cement is a regional, freight-constrained commodity. Cement cannot travel far economically, so competition is decided within a few hundred kilometres of a plant and national market share means less than regional density. Demand is driven by housing, infrastructure and government capital expenditure, and has grown at roughly 6–7% a year in volume terms.

Three features of the current cycle matter for this valuation. First, the industry has been adding capacity faster than demand, which holds utilisation near 80% and caps pricing power. Second, realisation has been flat to falling in real terms: UltraTech's realisation compounded at 2.0% over ten years and fell 6.1% in FY2024-25. Third, consolidation has been aggressive, and the acquirers have paid prices that put goodwill on balance sheets — which is exactly the problem this report measures.

Exhibit A15 61.6% of revenue, 44.7% of profit

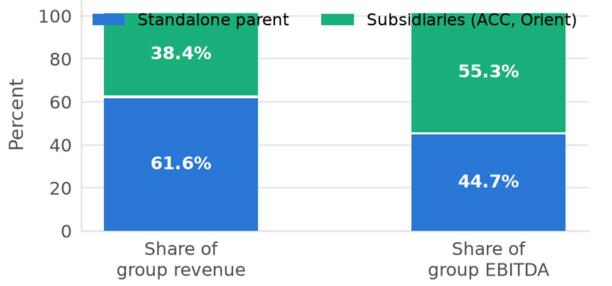

Exhibit A15. The subsidiary column is derived as consolidated less standalone and therefore ties to the reported total by construction. Intercompany eliminations sit inside the subsidiary column because they cannot be separated from the published statements. Source: FY2025-26 annual report, consolidated and standalone statements of profit and loss.

Exhibit A8 The parent carries the weak assets

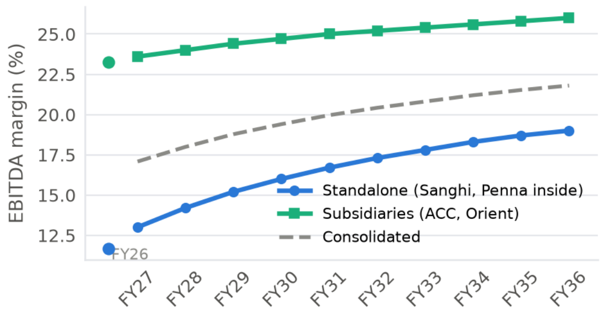

Exhibit A8. The parent starts at 11.7% because Sanghi and Penna sit inside it; the subsidiaries start at 23.3% because ACC and Orient sit outside it. The consolidated line is the weighted outcome, not an input. Source: authors' model.

Exhibit A6 The plants exist; the question is whether they fill

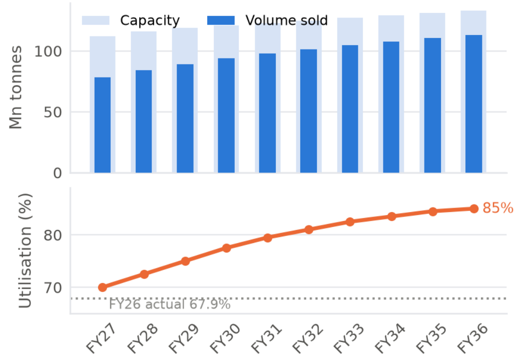

Exhibit A6. Volume is built as capacity times utilisation rather than assumed as a growth rate, so projected volume can never exceed the plant the company owns. Source: authors' model; capacity target of 119 MTPA per the FY2025-26 annual report.

Exhibit A13 The Rs 2,338 cr tax credit is worth minus Rs 11.54

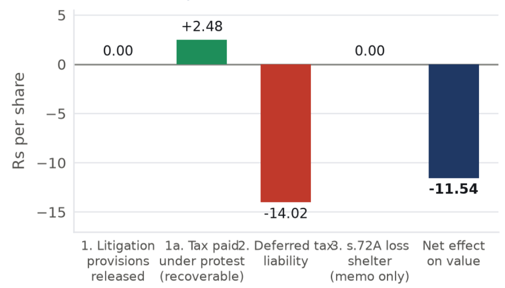

Exhibit A13. Driver 1 is excluded because the model taxes EBIT at the statutory rate throughout, so the reversal was never in the cash flows. Driver 1a is real cash already paid and recoverable, and sits outside operating invested capital. Driver 2 is deducted once rather than amortised. Driver 3 is memo only because it is already netted inside Driver 2. Source: FY2025-26 annual report, notes 32 and 53; authors' analysis.

Why the sector's own multiple cannot settle the argument

A peer median EV/EBITDA of 19.4x, solved back through the steady-state identity, implies perpetual growth of 10.99%. Nominal GDP on our own assumptions is 10.76%. A company cannot outgrow the economy forever, so the peer multiple is the implausible end of the range, not the benchmark against which our DCF should be corrected.

4 Historical analysis and value drivers

4.1 Two years of consolidated history, and why

The FY2025-26 annual report provides consolidated statements for FY2025-26 and a restated FY2024-25, and no more. Earlier consolidated years exist only in broker research, which is not an authorised source. A return trend asserted from two points is thin, and we say so rather than manufacture depth. Two further distortions matter: FY2024-25 was restated for the Sanghi and Penna amalgamation, and the transition year to March 2023 covered fifteen months. No growth rate should be taken off the reported series without adjustment.

4.2 The tax line is not usable as reported

Ambuja's reported consolidated tax line for FY2025-26 is a net *credit* of Rs 2,338 crore, so reported profit exceeds profit before tax and the reported effective rate is minus 71%. Every return measure in this report is therefore computed at the statutory rate of 25.168% under section 115BAA. The credit decomposes into three drivers, and treating each on its economics rather than its accounting turns a headline gain into a loss of Rs 11.54 per share.

4.3 The value drivers, ranked

Three levers move this valuation, and they are the three the forecast narrative spends its words on.

Capacity utilisation. The single most important driver. The plants exist and are paid for; whether they fill decides whether the fixed cost base is absorbed. Every point of utilisation is close to pure margin.

EBITDA per tonne. The metric the industry actually steers by. Our path takes it from Rs 886 to Rs 1,502, with roughly 60% of the improvement assumed to come from cost and fixed-cost absorption rather than price.

The capital base. Goodwill of Rs 22,979 crore does not shrink and does not earn a separate return. It is the denominator problem that no operating improvement of plausible size can outrun.

What the two ROIC lines are for

Excluding goodwill, the business earns a mediocre return that measures the plants. Including goodwill, the return measures what shareholders actually earned on what they actually paid. Both are shown throughout. The second is the one that decides the valuation.

5 Forecast assumptions

The explicit period is ten years, not the customary five. Ambuja runs at 67.9% utilisation and earns far below its cost of capital today; a five-year window ends before the ramp has played out and throws almost the entire value into the terminal period. A longer explicit horizon is the standard treatment for a difficult-to-value company, and it holds terminal value to 72% of enterprise value rather than the 85%-plus a

The three drivers of the Rs 2,338 crore credit

Driver	Rs cr	Treatment
1. Litigation provisions released	1,251	Excluded
1a. Tax paid under protest	614	Added as asset
2. Deferred tax liabilities	3,466	Deducted once
3. s.72A loss shelter	346	Memo only
Net effect on value		**−Rs 11.54/sh**

Source: FY2025-26 annual report, note 32(ii) and note 53.

Historical returns, consolidated

	FY25R	FY26
Revenue incl. grants (Rs cr)	35,336	40,656
EBITDA (Rs cr)	5,984	6,559
EBITDA margin	16.9%	16.1%
EBITDA per tonne (Rs)	n/a	886
Capacity utilisation	n/a	67.9%
ROIC incl. goodwill	5.2%	3.3%
ROIC excl. goodwill	7.6%	5.0%
Goodwill % of invested capital	30.9%	34.2%
Reported effective tax rate	13.3%	−70.9%

NOPAT is EBIT at the statutory 25.168%. Source: FY2025-26 annual report; authors' analysis.

Forecast drivers, FY2026-27 to FY2035-36

Driver	FY27	FY31	FY36
Capacity (MTPA)	112	123	133
Utilisation	70.0%	79.5%	85.0%
Volume (Mn.T)	78.4	97.8	113.1
Realisation growth	4.8%	2.0%	1.2%
Standalone revenue share	61.5%	60.7%	60.0%
Standalone EBITDA margin	13.0%	16.7%	19.0%
Subsidiary EBITDA margin	23.6%	25.0%	26.0%
Consolidated margin (output)	17.1%	20.0%	21.8%
EBITDA per tonne (Rs)	983	1,288	1,502
Capex (Rs cr)	9,500	7,500	7,500
Depreciation, % opening assets	8.0%	8.0%	8.0%
NWC, % of revenue	−0.34%	−0.34%	−0.34%

Every figure is an input on the Assumptions sheet of the model. Source: authors' assumptions anchored to the FY2025-26 annual report.

Exhibit A7 A 70% rise in unit EBITDA is already assumed

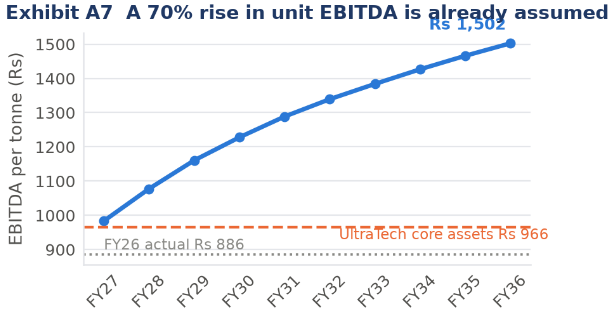

Exhibit A7. The endpoint of Rs 1,502 sits 56% above what UltraTech's best assets currently earn. The assumption is deliberately demanding: we wanted the valuation to fail on the capital base rather than on a conservative operating forecast. Source: authors' model.

five-year horizon would produce.

Every driver is set out in the table opposite with the anchor it came from. Two deserve comment. Realisation is assumed to grow *below* inflation for most of the forecast, consistent with the sector's record and with sell-side assumptions of flat to falling net sales realisation. And net working capital is held at minus 0.34% of revenue, essentially the FY2025-26 actual, so no cash is manufactured by shrinking working capital.

The assumption that carries the case

The standalone EBITDA margin rising from 11.7% to 19.0% is the single most important assumption in the model. It embeds a complete turnaround of the Sanghi and Penna assets. If it does not happen, the value is materially lower than Rs 99.4.

Exhibit A9 A third of capital employed is acquisition goodwill

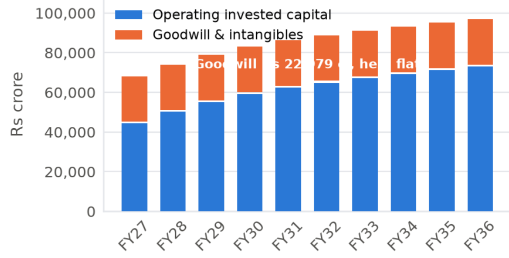

Exhibit A9. Goodwill is held flat in nominal terms across the forecast. It stays inside invested capital for the return measure, because it is capital shareholders paid, but it is excluded from terminal reinvestment because organic growth does not require buying more of it. Source: authors' model.

6 Cost of capital

Ambuja carries almost no debt — borrowings and leases of Rs 866 crore against a market capitalisation of Rs 99,095 crore, a debt-to-equity ratio of 0.87%. The capital structure machinery therefore barely binds: WACC, the unlevered rate ρ and the cost of equity sit within four basis points of each other.

6.1 Inputs

The risk-free rate is the FBIL 10-year G-Sec par yield of 6.85% for the week ended 20 March 2026, the last weekly print before the valuation date, less the India sovereign default spread of 1.87% — because the equity risk premium already contains a country risk premium and double-counting it would be a risk-consistency error. That gives a default-free rupee rate of 4.98%. The equity risk premium of 7.08% and the unlevered building-materials beta of 0.90 are Damodaran, January 2026; the cash-corrected beta is used because cash is added back separately at the bridge.

6.2 Relevering: the debt policy has to match the formula

The model assumes a constant debt-to-value ratio with continuous rebalancing — Harris–Pringle, Case 2 in the course taxonomy — which is what allows the interest tax shield to be discounted at ρ and what makes all five methods agree. Under that policy the relevering formula carries *no* tax term: $\beta_L = \beta_U(1 + D/E)$. This report applies that formula consistently, giving a levered beta of 0.9079 and a cost of equity of 11.41%.

Circularity

At a debt-to-equity ratio of 0.87%, no plausible revision to the equity value moves the weights enough to change WACC in the second decimal. The circularity problem is immaterial here, and we say so having checked it rather than having assumed it.

Cost of capital, Ambuja

Input	Value
10-year G-Sec par yield (FBIL, w/e 20-Mar-26)	6.85%
Less: India sovereign default spread	−1.87%
Risk-free rate (default-free rupee)	**4.98%**
India equity risk premium	7.08%
Unlevered beta, building materials	0.900
Market debt / equity	0.87%
Levered beta, $\beta_U(1 + D/E)$	0.9079
Cost of equity (CAPM)	**11.41%**
Pre-tax cost of debt	8.00%
Statutory tax rate (s.115BAA)	25.168%
Debt / enterprise value	0.87%
WACC	**11.36%**
Unlevered rate ρ	**11.38%**
Check: $\rho =$ WACC $+ K_d t(D/V)$	ties

Harris–Pringle constant-rebalancing policy applied consistently in the unlever, the relever and the shield. Source: RBI/FBIL; Damodaran January 2026; authors' analysis.

Beta: bottom-up against regression

Measure	Value
Bottom-up levered beta (used)	0.908
Regression beta, 60 monthly obs.	1.151
R-squared	0.267
Blume-adjusted regression beta	1.101
Difference, regression less bottom-up	+0.243

Source: Damodaran January 2026; 60 monthly observations to March 2026 against the NIFTY 500.

Why the bottom-up beta is preferred

The regression explains only 27% of the variance and the price series was supplied with a vendor adjusted-close column rather than in exchange bhavcopy format. A bottom-up beta from 469 global building-materials firms is the more stable estimate. Using the regression beta of 1.151 instead would raise the cost of equity to 13.13% and *lower* the value to roughly Rs 71 — the direction is against the company, so the conservative choice is the one we did not take.

7 Discounted cash flow valuation

7.1 The cash flow profile

Free cash flow to the firm is negative in FY2026-27 and FY2027-28. That is not a modelling error. It is what a company running at 67.9% utilisation with Rs 9,085 crore of capital work in progress still to commission looks like: capital is going out faster than the assets already built are bringing it in. FCFF turns positive in FY2028-29 and reaches Rs 6,693 crore by FY2035-36.

7.2 The terminal year

Terminal growth is 6.99%, built multiplicatively as 65% of nominal GDP, where nominal GDP is $(1 + 6.5\%)(1 + 4.0\%) - 1 = 10.76\%$ — not 10.5%. The same fraction is applied to both companies in this document so the two are treated consistently. Terminal reinvestment equals g times *operating* invested capital, excluding goodwill, because organic growth does not require buying more goodwill; charging g on goodwill as well would demand that the company keep making acquisitions forever merely to stand still.

7.3 From enterprise value to the owners' claim

The bridge deducts every claim that ranks ahead of, or alongside, the ordinary shareholder. Two items deserve note. Deferred tax liabilities of Rs 3,466 crore are deducted once at the valuation date rather than amortised: a deferred tax liability means cash tax has lagged book tax, so as it unwinds free cash flow falls, and taking it as a single deduction avoids pretending to know the timing. Non-controlling interest of Rs 12,499 crore is deducted because consolidated cash flows include 100% of subsidiaries the parent does not wholly own; omitting it would overstate value by about Rs 51 per share.

> **Result**
> Enterprise value Rs 39,833 crore. Equity value attributable to owners Rs 24,575 crore. Value per share **Rs 99.4** against a traded Rs 400.90, a downside of 75.2%.

Exhibit A3 Free cash flow turns positive only in FY29

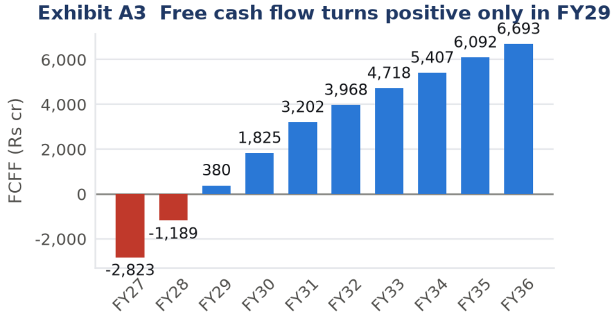

Exhibit A3. FCFF equals NOPAT plus depreciation less capex less the increase in net working capital. Source: authors' model.

Exhibit A2 From enterprise value to the owners' claim

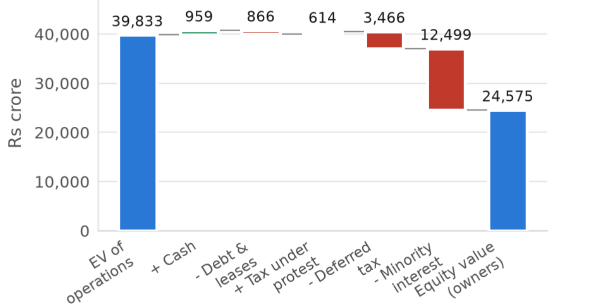

Exhibit A2. Every liability included in the cost of capital is subtracted here, and nothing is subtracted twice. Source: authors' model; FY2025-26 consolidated balance sheet.

Exhibit A14 A ten-year horizon holds terminal value to 72%

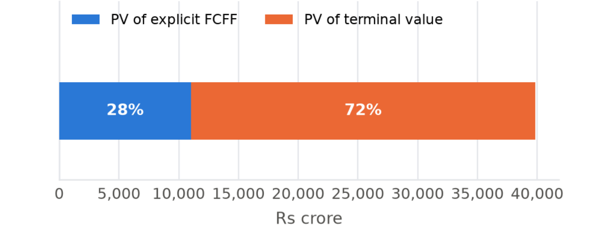

Exhibit A14. A ten-year explicit horizon holds terminal value to 72% of enterprise value, below the 80–90% threshold at which the terminal assumption effectively becomes the valuation. Source: authors' model.

DCF summary

Line	Rs cr
PV of explicit FCFF, FY27–FY36	11,060
PV of terminal value	28,773
Enterprise value of operations	**39,833**
Add: cash, bank and current investments	959
Less: borrowings and leases	−866
Add: tax paid under protest	614
Less: deferred tax liabilities	−3,466
Less: non-controlling interest	−12,499
Equity value, owners	**24,575**
Shares outstanding (crore)	247.18
Value per share (Rs)	**99.4**
Terminal value % of EV	72.3%
Implied terminal EV/EBITDA	4.65x

Source: authors' model.

8 Method equivalence and consistency audit

8.1 All five methods agree

FCFF discounted at WACC, capital cash flow and adjusted present value discounted at the unlevered rate ρ, FCFE discounted at the cost of equity, and economic value added built from opening invested capital all return the same equity value per share. The maximum difference across the five is zero to six decimal places.

Method equivalence

Method	Rate	Rs/sh	Diff
FCFF	WACC	99.42	0.00
CCF	ρ	99.42	0.00
APV	ρ	99.42	0.00
FCFE	K_e	99.42	0.00
EVA	WACC	99.42	0.00
Status		**RECONCILED**	

All five methods are built from the same forecast and must agree; any difference would be an error, not a modelling choice. Source: authors' model.

What agreement does and does not prove

Agreement across five methods proves internal consistency and nothing more. It says nothing whatever about whether the assumptions are right. We were also able to reproduce the entire model independently in Python from the input assumptions alone, and both the value per share and the EVA-to-DCF identity tie exactly.

8.2 The five consistencies

Assumptions — PASS. Volume is capacity times utilisation, so growth is tied to physical assets. Capex is an explicit input anchored to the expansion plan and is never held flat while volume rises. The terminal year is forced to steady state with reinvestment equal to g times operating invested capital, which is the condition that makes EVA reconcile.

Risk — PASS. Firm flows at firm rates, equity flows at the cost of equity. Constant D/V rebalancing is assumed, so the tax shield is discounted at ρ, and the relevering formula carries no tax term to match. The identity $\rho =$ WACC $+ K_d t(D/V)$ ties exactly.

Asset — PARTIAL. Other income is excluded from EBITDA, so cash and investments are non-operating and added back once. The unlevered beta is cash-corrected for the same reason. *The gap:* depreciation is charged at 8.0% of operating fixed assets, but the historical charge includes amortisation of the Rs 9,433 crore intangible balance, which the model holds flat and never amortises. The charge and the base do not cover the same assets. Splitting the two requires a disclosed split that was not obtained.

Liability — PASS. Borrowings and leases sit in the WACC weights and in the bridge. Deferred tax is in neither the weights nor invested capital, because it bears no interest, but is deducted in the bridge. Non-controlling interest is deducted. Nothing appears twice and nothing is missing.

Multiplier — PARTIAL. The implied terminal EV/EBITDA of 4.65x sits far below the cement peer median of 19.4x. The two do not bracket. We take the position that the peer multiple is the implausible end — it requires perpetual growth above nominal GDP — but the gap is real and is recorded as a PARTIAL rather than smoothed over.

9 Relative valuation

Multiples are computed after the discounted cash flow, never before it, and are used to challenge the DCF rather than to set it. On the peer set Ambuja looks cheap: at 17.0x EV/EBITDA it is the lowest of the five names against a peer median of 19.4x, and at 1.67x price-to-book it is the lowest by a wide margin.

9.1 The two approaches disagree, and the disagreement is the finding

Relative valuation makes Ambuja look roughly a fifth cheap. The DCF says it is worth a quarter of its price. The resolution is in the price-to-book row. EV/EBITDA cannot see the Rs 22,979 crore of goodwill Ambuja capitalised on its acquisitions; price to book can. Across the peer set, price to book tracks return on equity closely — JK Cement at 5.6x on a 16% ROE, Shree at 3.7x on 7%, Ambuja at 1.7x on 3.8%. A company earning a lower return *should* trade at a lower multiple of book.

Cheap is the diagnosis, not the opportunity

Ambuja is priced at about 79% of UltraTech's EV/EBITDA, so it

Mohanty Appendix 5A: the seven sanity checks

Check	Verdict
1. Revenue growth plausible vs GDP	PASS
2. Capacity supports projected volume	PASS
3. Capex sufficient to build capacity	PASS
4. Margin expansion realism	PARTIAL
5. Working capital sanity	PASS
6. Terminal ROIC fades toward WACC	PASS
7. Terminal value dominance	PASS

Source: authors' assessment against the course audit framework.

Check 4, and the direction of the error

EBITDA per tonne rises 70% over ten years to Rs 1,502, which is 56% above what UltraTech's best assets earn today. That is demanding. It is demanding *against us*: a reader who regards Rs 1,502 as unreachable should note that the value would be lower still, and the SELL stronger.

Check 6 passes here

Terminal ROIC on operating capital is 11.94% against a WACC of 11.36%, a spread of 0.58 percentage points. That is a defensible steady state for a commodity producer and assumes no perpetual supernormal rent. On invested capital *including* goodwill the terminal return remains below the cost of capital.

Exhibit A11 Ambuja is the cheapest name in the set

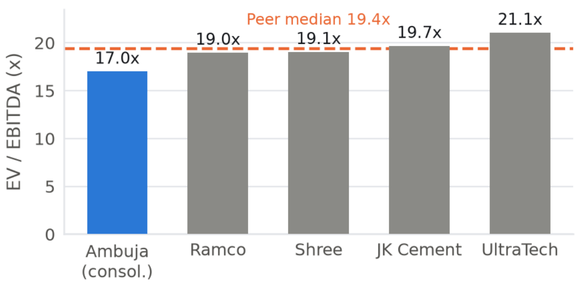

Exhibit A11. Ambuja on a consolidated basis with non-controlling interest added to enterprise value; peers standalone. Source: peer annual reports and disclosed market capitalisations, trailing twelve months to June 2026.

looks a fifth cheaper. It is priced at about 43% of UltraTech's enterprise value per rupee of invested capital. But it earns only about 31% of UltraTech's return on that capital. The discount is nowhere near large enough for the gap in returns.

9.2 A caution on the price-to-book row

Applying a peer price-to-book multiple to a company whose return on equity differs sharply from the peer set is not a valuation; it is a category error. The implied values of Rs 826–1,102 are shown for completeness, and because the pairing is itself the diagnostic, but they should not be carried into a conclusion without adjusting for the ROE difference.

9.3 Basis warning

Ambuja is carried on a consolidated basis and every peer on a standalone basis. This is necessary rather than sloppy: Ambuja's market capitalisation prices the whole group while its standalone EBITDA excludes ACC entirely. For the other four companies standalone and consolidated differ by under 10%, so the problem does not arise. Ambuja is also one quarter behind the others, on FY2025-26 rather than trailing twelve months to June 2026.

Exhibit A12 Cheap on book because the return is poor

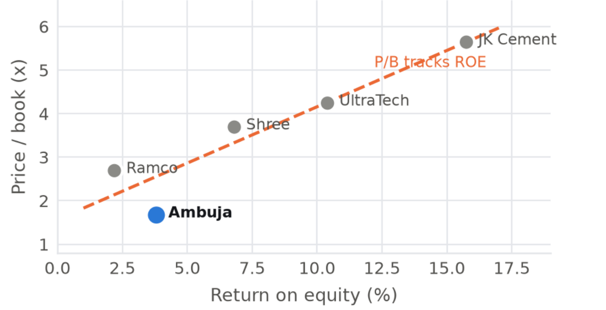

Exhibit A12. The most important exhibit in this section. Price to book tracks return on equity across the peer set; Ambuja sits at the bottom of both axes. Source: peer annual reports; authors' analysis.

Peer set, FY2025-26 / TTM June 2026

Company	EV/EB	P/E	P/B	ROE
Ambuja	**17.0**	43.9	**1.67**	**3.8%**
UltraTech	21.1	40.8	4.24	10.4%
Shree Cement	19.1	54.2	3.69	6.8%
JK Cement	19.7	35.8	5.64	15.7%
Ramco Cements	19.0	122.9	2.69	2.2%
Peer median	**19.4**	**47.5**	**3.97**	**8.6%**
Ambuja, DCF-implied	6.2			

Ambuja consolidated with NCI in EV; peers standalone. Source: company annual reports and disclosed market capitalisations.

> **The sector cannot be the benchmark**
> Our own model says UltraTech — the largest member of this peer median — is 53% overvalued. A median built from such companies cannot be used to argue that anything in the set is cheap. We are not claiming Ambuja is mispriced against its sector. We are claiming the sector is mispriced against the cash it generates, and that Ambuja is the member with the weakest returns.

10 Sensitivity, scenarios and catalysts

10.1 Read the direction carefully

The WACC-against-growth grid slopes *upward* with terminal growth: at an 11% WACC the value rises from Rs 95 at 2% growth to Rs 108 at 6%. That is because this model assumes return on capital climbs to 11.94% by the terminal year, just above the cost of capital, so terminal growth adds value. In the early years, when the company earns roughly 7% against a cost of 11.4%, growth destroys value.

The real diagnostic is therefore the crossing point. Everything depends on whether return on capital actually climbs through the cost of capital. That is an assumption, not an observation, and Ambuja has not earned above its cost of capital in either year of consolidated history available.

10.2 What the traded price requires

Solved backwards, Rs 400.90 requires a weighted average cost of capital of 8.60% against our 11.36%. For a company funded 99% by equity that implies an equity risk premium far below any defensible figure. Holding the cost of capital and solving on operations instead requires a terminal return on capital comfortably above 15%, EBITDA per tonne above Rs 2,000, and utilisation above 90%.

10.3 Catalysts

A gap of this size cannot be presented as mispricing without naming what would close it. *On the bull side:* quarterly utilisation and

Exhibit A10 Value per share: no cell reaches Rs 401

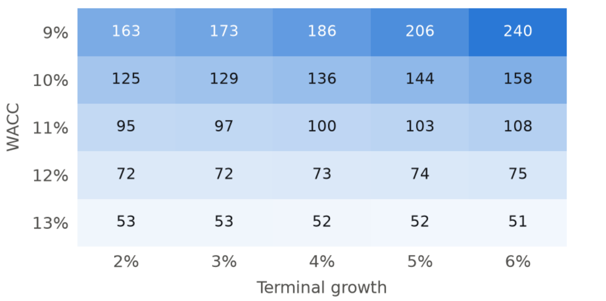

Exhibit A10. Live two-way grid recomputed from the forecast cash flows and the steady-state terminal formula. No combination of a defensible WACC and a terminal growth rate below it reaches Rs 401. Source: authors' model.

Exhibit A16 Indexed to the base case = 1.0

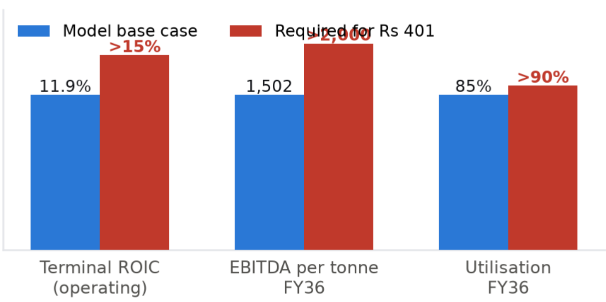

Exhibit A16. Indexed so that the model base case equals 1.0 on each driver. Source: authors' model.

EBITDA-per-tonne prints confirming that the Sanghi, Penna, Orient and ACC integrations are lifting blended unit economics; completion of the merger, which removes holding-company complexity and the minority leakage; and a cement price recovery. *On the bear side:* industry capacity additions outrunning demand and holding utilisation near 70%, which would keep return on capital pinned below its cost indefinitely.

The single most informative disclosure to watch is consolidated EBITDA per tonne, because it is the one number that separates this valuation from the market price.

On forecasting this company

A sell-side house modelled FY2025-26 EBITDA of Rs 8,477 crore in December 2025, nine months into the year. Ambuja reported Rs 6,539 crore — a 30% miss — on a revenue estimate accurate to within 2.7%. The entire error was margin. Treat any forecast of rapid margin recovery with that record in mind.

11 Risks and what would change our mind

11.1 Risks to the SELL

Integration delivers faster than modelled. If the Sanghi and Penna assets reach parent-level margins in three years rather than ten, the standalone margin path is too slow and the value rises materially.

A genuine pricing cycle. Our realisation assumption grows below inflation throughout. A sustained industry price recovery, which the sector has seen before, would break that assumption in the company's favour.

The merger unlocks more than the share count. If consolidation delivers real cost synergies rather than only removing minority leakage, the post-merger entity earns more than the sum we have valued.

Our beta is too low. We use a bottom-up beta of 0.908 against a regression beta of 1.151. We chose the lower figure, which *raises* the value. The risk runs the other way here.

11.2 Limitations we accept

Consolidated history is two years deep, so the return trend is asserted from two points. The depreciation base and the depreciation charge do not cover the same assets. The merger terms require re-sourcing from the scheme filing. And the implied terminal multiple sits far below anything cement has traded at, which we have taken a position on rather than resolved.

What would change our mind

Two consecutive years of consolidated ROIC including goodwill above 9%, accompanied by utilisation above 80% and EBITDA per tonne above Rs 1,200. That combination would demonstrate the crossing this valuation treats as an assumption, and would move the value toward the upper half of our scenario range.

Scenario view

Driver	Bear	Base	Bull
Utilisation by FY36	75%	85%	90%
EBITDA/t by FY36 (Rs)	1,150	1,502	1,850
Terminal ROIC	8.5%	11.9%	15.0%
Terminal growth	5.0%	6.99%	7.5%
Value per share (Rs)	**∼45**	**99**	**∼210**
Gap to Rs 400.90	−89%	−75%	−48%

Scenarios are tied to driver assumptions, not to arbitrary percentage shifts. Source: authors' model.

Even the bull case does not get there

On assumptions we would struggle to defend — 90% utilisation, Rs 1,850 per tonne, a 15% terminal return on capital — the value is roughly Rs 210, still 48% below the traded price.

Recommendation summary

Item	Value
Recommendation	**SELL**
Intrinsic value per share	Rs 99.4
Market price, 30 March 2026	Rs 400.90
Downside	−75.2%
Market capitalisation	Rs 99,095 cr
Model equity value	Rs 24,575 cr
WACC	11.36%
Terminal growth	6.99%
Explicit forecast horizon	10 years
Terminal value % of EV	72.3%
Implied terminal EV/EBITDA	4.65x
WACC implied by market price	8.60%

Source: authors' model; NSE close 30 March 2026.

Classification: the difficult company

Ambuja is the difficult-to-value name in this pair, and the reasons are specific: only two years of consolidated history, a restated prior year and a fifteen-month transition year, a reported tax line that is a net credit making the effective rate minus 71%, a merger in progress that changes the share base, and a capital structure in which a third of invested capital is goodwill. Each of those had to be handled explicitly before any return measure became meaningful.

Part II

UltraTech Cement Ltd

The easy-to-value name. Ten years of audited history, a clean tax line, one dominant product — and a price that requires a return on capital the company has not earned since FY2021-22.

UltraTech Cement Ltd

NSE: ULTRACEMCO | BSE: 532538

SELL Value **Rs 5,024** | Price Rs 10,745 | −53.2% | Standalone core, subsidiaries added

12 Investment case and recommendation

We initiate on UltraTech Cement with a SELL and an intrinsic value of Rs 5,024 per share against a traded price of Rs 10,745. As with Ambuja, five discounted cash flow methods reconcile exactly. Unlike Ambuja, this is not a company that destroys value: UltraTech earns above its cost of capital and economic value added is positive in every forecast year. The question is not whether the business creates value. It is whether it creates enough to justify 3.3 times invested capital and 21.1 times EBITDA.

12.1 The argument in three steps

The company buys growth with capital rather than earning it with price. Volume compounded at 12.5% a year over ten years while realisation managed 2.0% and fell 6.1% in FY2024-25. Revenue growth of 14.7% a year was substantially acquired, not organic.

The acquisitions dilute returns. Management's own disclosure puts core UltraTech assets at roughly Rs 966 of EBITDA per tonne, against Rs 386 for India Cements and Rs 755 for Kesoram. Return on invested capital fell from 14.5% in FY2021-22 to 10.8% in FY2025-26 — below our estimated cost of capital of 11.43%.

The forecast already assumes that reverses. Our model takes ROIC back up from 10.8% to 15.2% over five years, on management's own guided cost savings and a utilisation ramp. Even with that reversal fully credited, the value is Rs 5,024.

> **The discount rate is not the explanation**
>
> Solved backwards, the traded price of Rs 10,745 requires a weighted average cost of capital of about 9.2% against our 11.43%. For a company funded roughly 94% by equity, that implies an equity risk premium far below anything defensible for India. The gap is an operating-assumption gap, not a discount-rate gap.

12.2 Why this is the easy company

UltraTech publishes a ten-year standalone financial highlights table that ties both ways in every year: net worth plus loan funds plus leases plus deferred tax equals net fixed assets plus investments plus liquid investments plus net working capital. The reported effective tax rate of 26.1% is materially in line with the statutory 25.168%, so no migration path is needed. There is one dominant product, disclosed volume, disclosed capacity, and management guidance on capex and cost savings. Almost nothing had to be reconstructed.

13 The business and how it is put together

UltraTech is India's largest cement producer and part of the Aditya Birla group. Standalone grey cement sales were 140.75 million tonnes on revenue of Rs 82,170 crore in FY2025-26, at an EBITDA of Rs 15,439 crore. The company holds 74.99% of the separately listed India Cements and has absorbed Kesoram's cement assets.

Exhibit U1 Football field: the DCF sits far below every alternative

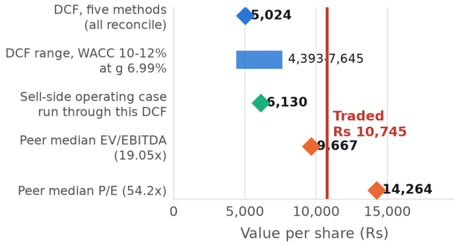

Exhibit U1. The sell-side operating case is that house's own driver set — EBITDA per tonne rising 54% in three years — run through our discounted cash flow rather than through their exit multiple. Source: authors' model; peer annual reports; NSE close 30 March 2026.

Exhibit U4 A falling return, forecast to reverse

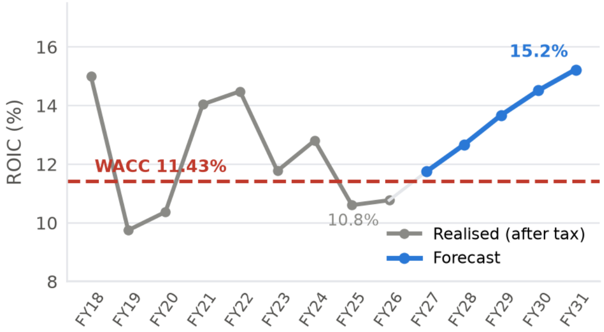

Exhibit U4. The decisive exhibit. Realised ROIC is recomputed after tax at the statutory rate on opening invested capital. The forecast assumes the four-year decline reverses and then some. Source: FY2025-26 integrated report, ten-year standalone highlights; authors' model.

Exhibit U5 UltraTech does create economic value

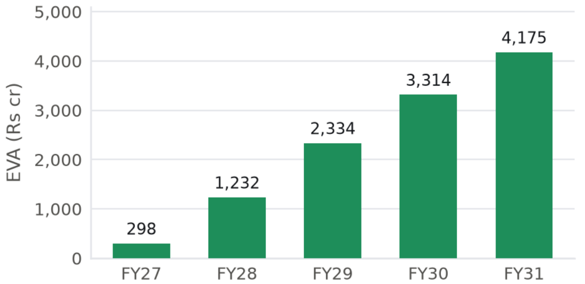

Exhibit U5. Unlike Ambuja, UltraTech's NOPAT covers its capital charge throughout. The company creates economic value; the question is whether it creates enough. Source: authors' model.

13.1 Standalone core with subsidiaries added

The operating forecast is built on the standalone entity because only the standalone series carries the audited ten-year history, the disclosed grey cement volume of 140.75 million tonnes and the capacity figures on which a capacity-times-utilisation forecast depends. Consolidated volume and consolidated capital work in progress are not separately disclosed. The subsidiary block is then carried explicitly: base-year subsidiary revenue of Rs 6,342 crore at a 24.9% margin, forecast alongside the core, with the consolidated asset base and the non-controlling interest both brought into the model.

The omission is small, and quantified

Standalone is 92.8% of group revenue and 90.7% of group EBITDA. Consolidated accounts carry Rs 7,909 crore of goodwill, which is 8.9% of the asset base against 34.2% at Ambuja. The contrast with Ambuja is one of degree rather than of kind, and saying so is more useful than asserting that the standalone basis is simply correct.

A disclosed inconsistency between the two models

UltraTech holds 74.99% of the listed India Cements and is modelled from a standalone core. Ambuja holds 50.05% of the listed ACC and is modelled consolidated. Two companies in a similar structural position are treated differently, and the reason is data availability rather than principle — the irony being that UltraTech's stake is the more controlling of the two. We state this rather than hide it. See Appendix A for the full treatment and its quantified effect.

13.2 An unresolved item in the bridge

The equity bridge adds investments in subsidiaries and others of Rs 6,740 crore. The FY2025-26 balance sheet reports Rs 12,541 crore under that heading, of which the India Cements stake is Rs 8,970 crore at carrying value. The two do not tie. Critically, India Cements' *operations* are already inside the forecast through the subsidiary block, so adding the stake at book on top would double-count it — an asset consistency violation. We have therefore left the bridge as modelled and flagged the reconciliation as an open item rather than adding Rs 197 per share on an assumption.

14 Industry context and competitive position

UltraTech is the share leader in a regional, freight-constrained commodity industry with roughly 6–7% volume demand growth. Its competitive position is genuinely strong: the largest capacity base, the widest geographic spread, and the scale to absorb distressed assets when they come to market. None of that is in dispute here.

What is in dispute is the price. The industry has been adding capacity faster than demand, which is why utilisation across the sector sits near 80% and why realisation has been flat in nominal terms and falling in real terms. In that environment, scale buys resilience rather than pricing power, and acquisitions bought at full prices dilute returns before they improve them.

The reverse cross-check on the sector multiple

A 19.05x exit EV/EBITDA — the peer median — implies terminal growth of 9.8% against a WACC of 11.43% and nominal GDP of 10.76%. That is growth at roughly 91% of the whole economy in perpetuity, from a company whose realisation has compounded at 2.0% over ten years. The first figure in the reverse table that is arguable is an 8x exit multiple, which implies 6.8% growth.

Exhibit U10 What the acquisitions actually earn

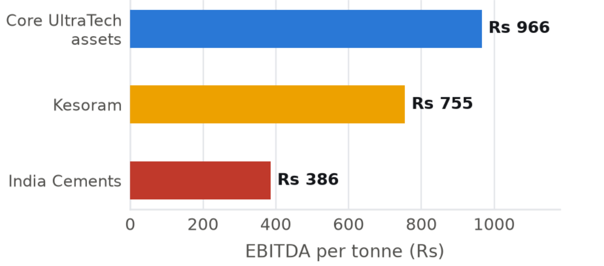

Exhibit U10. The acquisition drag, in management's own numbers. Closing the gap between Rs 386 and Rs 966 is the entire bull case. Source: management commentary relayed through broker research — flagged for re-sourcing from the earnings call transcript.

Standalone against consolidated, FY2025-26

Rs crore	S/A	Consol	Subs
Revenue	82,170	88,512	6,342
EBITDA	15,439	17,020	1,581
EBITDA margin	18.8%	19.2%	24.9%
Borrowings + leases	20,480	23,755	3,275
Goodwill	—	7,909	7,909
Non-controlling interest	—	4,089	4,089
S/A % of group revenue			**92.8%**
S/A % of group EBITDA			**90.7%**

The subsidiary column is derived as consolidated less standalone. Source: FY2025-26 integrated report, standalone and consolidated statements.

Exhibit U12 Leverage returns with the acquisitions

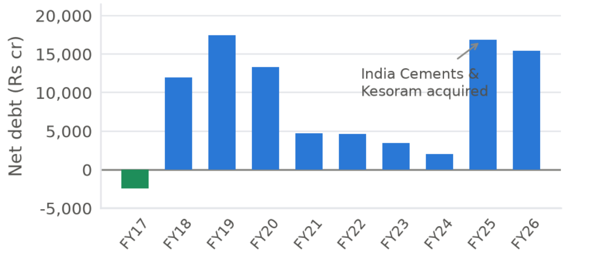

Exhibit U12. Net debt had been reduced to Rs 1,994 crore by FY2023-24 before the India Cements and Kesoram acquisitions returned it to Rs 15,462 crore. Source: FY2025-26 integrated report, ten-year standalone highlights.

Exhibit U6 Volume compounded; price did not

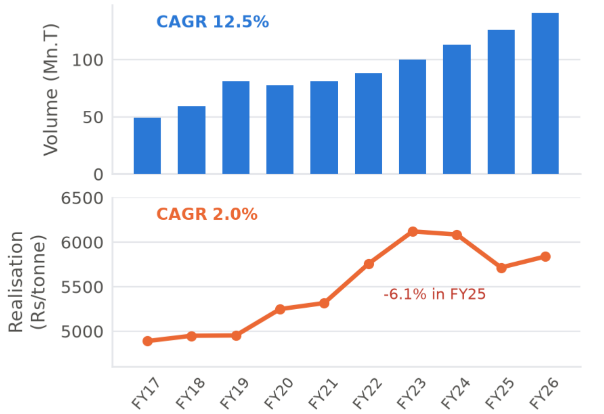

Exhibit U6. Two measures on two panels rather than one chart with two axes, because the scales are unrelated. Source: FY2025-26 integrated report, ten-year standalone financial highlights.

15 Ten years of history: what actually happened

15.1 Volume compounded; price did not

The ten-year standalone series is the strongest evidence in this report, because it is audited, complete and published by the company itself. Grey cement volume rose from 48.87 to 140.75 million tonnes, a compound rate of 12.5%. Realisation per tonne rose from Rs 4,889 to Rs 5,838, a compound rate of 2.0%, and fell 6.1% in FY2024-25 alone. Revenue therefore compounded at 14.7% — but that growth was bought.

15.2 Margin did not follow scale

EBITDA margin was 20.8% in FY2016-17 and 18.8% in FY2025-26. The FY2020-21 peak of 25.4% was a fuel-cost windfall, not an operating achievement. Ten years of consolidation, scale and geographic expansion did not move the structural margin.

15.3 And the return fell

After-tax return on invested capital, measured on opening capital at the statutory rate, ran at 14.5% in FY2021-22 and 10.8% in FY2025-26. Invested capital rose from Rs 23,546 crore to Rs 86,090 crore over the decade. The company got much bigger and somewhat less profitable per rupee employed.

A live error in the source workbook

The valuation workbook computes historical NOPAT with a tax reference that resolves to an empty cell, so its published ten-year ROIC series is a *pre-tax* return — 14.4% for FY2025-26 rather than the correct after-tax 10.8%. Exhibit U4 uses the corrected after-tax series. The correction is listed in Appendix B and is applied in the accompanying corrected workbook.

Exhibit U7 Revenue grew 14.7% a year; margin did not follow

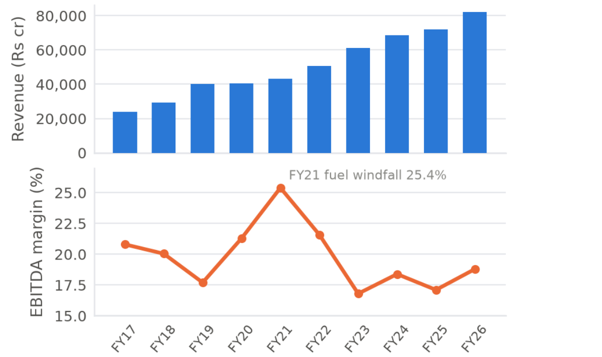

Exhibit U7. Revenue compounded at 14.7%; margin ended two points below where it started. Source: as above.

Ten-year standalone record

	FY17	FY21	FY24	FY26
Volume (Mn.T)	48.9	81.3	112.8	140.8
Revenue (Rs bn)	239	432	686	822
EBITDA (Rs bn)	49.7	110	126	154
EBITDA margin	20.8%	25.4%	18.4%	18.8%
Realisation (Rs/t)	4,889	5,315	6,085	5,838
Invested cap. (Rs bn)	235	470	653	861
ROIC after tax	—	14.0%	12.8%	10.8%
Net debt (Rs bn)	−24	47	20	155
Net worth (Rs bn)	239	434	591	747

Source: UltraTech Cement Ltd, Integrated and Sustainability Report 2025-26, Standalone Financial Highlights. FY2018-19 and FY2022-23 are shown as restated in the company's own table.

16 Forecast assumptions

The explicit period is five years. UltraTech is already at 82% utilisation with a clean, complete history and management guidance on both capex and cost savings; it is much closer to steady state than Ambuja, and a five-year window reaches it. The cost is that terminal value carries 78.7% of enterprise value, which is high, and we say so.

16.1 The forecast is built the way the industry is run

Volume is capacity times utilisation, not a growth rate, because UltraTech has already built the capacity and is filling roughly 82% of it — so several years of volume growth require little new capital. EBITDA is volume times EBITDA per tonne, the metric management actually steers by. Capex is an explicit input anchored to management's guidance of roughly Rs 10,000 crore a year.

The correction that mattered most in the build

An earlier version derived capex from capital intensity, scaling fixed assets to revenue. That charged the company a second time for capacity it had already paid for and understated value by roughly a third. Capex as an explicit input is both more defensible and considerably more generous to the company.

16.2 Deliberately below the sell side

Our EBITDA per tonne path rises from Rs 1,097 to Rs 1,379 over five years, capturing roughly two-thirds of management's guided Rs 300 per tonne cost saving. A sell-side house models Rs 1,423 by FY2027-28 — a 54% rise in three years. We take the slower path, and we test theirs in the scenario table.

Forecast drivers, FY2026-27 to FY2030-31

Driver	FY27	FY29	FY31
Capacity (Mn.T)	186	205	220
Utilisation	82.0%	84.5%	86.0%
Volume (Mn.T)	152.5	173.2	189.2
EBITDA/t growth	8.0%	4.0%	2.5%
EBITDA per tonne (Rs)	1,185	1,306	1,379
Realisation (Rs/t)	6,072	6,379	6,556
Subsidiary revenue growth	6.0%	5.0%	4.0%
Subsidiary margin	25.0%	25.4%	25.8%
Consolidated margin (output)	19.9%	20.8%	21.3%
Capex (Rs cr)	9,500	9,000	8,500
Depreciation, % opening	5.05%	5.05%	5.05%
NWC, % of revenue	−3.74%	−3.74%	−3.74%

Source: authors' assumptions anchored to management guidance and the FY2025-26 report.

Exhibit U11 Growth comes from filling plants already built

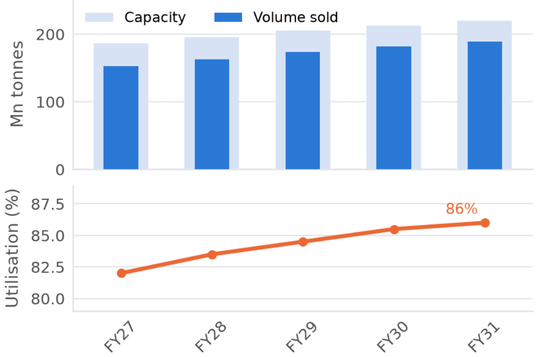

Exhibit U11. Peak forecast volume of 189.2 million tonnes sits inside capacity of 220 million tonnes at all times. Source: authors' model; announced expansion schedule.

Capex may be light, and the direction is against us

Total capex of Rs 45,000 crore less maintenance of about Rs 23,700 crore leaves growth capex of Rs 21,300 crore against capacity addition of 47.5 million tonnes, or roughly Rs 4,500 per tonne. Indian brownfield cement capacity typically costs Rs 5,000–7,000 per tonne. Correcting this would lower our value further, so the SELL is conservative — but the inconsistency is real and is recorded rather than hidden.

Exhibit U14 Capex above depreciation throughout

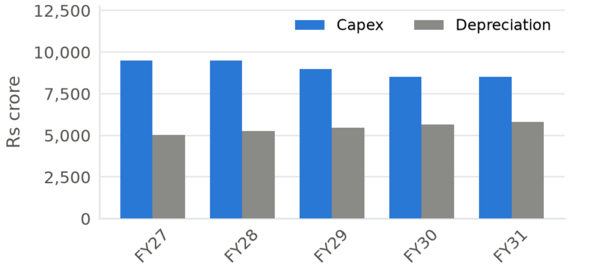

Exhibit U14. Capex runs above depreciation in every forecast year, so the asset base grows in real terms. Source: authors' model.

17 Cost of capital

The inputs are the same family as Ambuja's: an FBIL 10-year G-Sec par yield of 6.85% less the 1.87% sovereign default spread, giving a default-free rupee rate of 4.98%; Damodaran's January 2026 India equity risk premium of 7.08%; and the cash-corrected unlevered building-materials beta of 0.90. UltraTech carries meaningfully more debt than Ambuja — Rs 20,480 crore of borrowings and leases, a market debt-to-equity ratio of 6.47% — so the capital structure actually does something here.

17.1 Relevering under the stated debt policy

As with Ambuja, the model assumes constant D/V with continuous rebalancing, which is what permits the tax shield to be discounted at ρ. Under that policy the relever carries no tax term, giving a levered beta of 0.9582 and a cost of equity of 11.76%. The identity $\rho = \text{WACC} + K_d t(D/V)$ ties exactly.

17.2 Circularity is disclosed, and it does not bite

The weights use market capitalisation — the very price this report is testing. That tension is disclosed rather than hidden, and the iterative alternative was solved. On the model's own equity value the debt-to-equity ratio rises to roughly 14.8%, which pulls WACC down by substituting cheaper debt into the weights while pushing the cost of equity up through a higher relevered beta. The two effects very nearly cancel and the converged value differs by about 1%.

Sensitivity to beta is the honest caveat

A one-point move in beta changes the cost of equity by roughly 700 basis points and moves the answer by about a third. Until beta is settled from a full exchange-sourced price history, the output should be read as a band rather than a point estimate. Our bottom-up 0.958 sits below the regression estimate of 1.086, which again means the conservative choice was not the one we took.

Cost of capital, UltraTech

Input	Value
10-year G-Sec par yield (FBIL, w/e 20-Mar-26)	6.85%
Less: India sovereign default spread	−1.87%
Risk-free rate	**4.98%**
India equity risk premium	7.08%
Unlevered beta, building materials	0.900
Market debt / equity	6.47%
Levered beta, $\beta_U(1 + D/E)$	0.9582
Cost of equity (CAPM)	**11.76%**
Pre-tax cost of debt	8.34%
Statutory tax rate (s.115BAA)	25.168%
Debt / enterprise value	6.08%
WACC	**11.43%**
Unlevered rate ρ	**11.56%**
Check: $\rho = \text{WACC} + K_d t(D/V)$	ties
Regression beta (60 monthly obs.)	1.086

Source: RBI/FBIL; Damodaran January 2026; authors' analysis.

Circularity: market weights against iteration

	Mkt cap	Iterated
Debt / equity	6.47%	14.8%
Relevered beta	0.958	1.033
Cost of equity	11.76%	12.29%
WACC	11.43%	11.35%
Difference in value		**∼1.0%**

Solved per SSRN 413240. Source: authors' analysis.

18 Discounted cash flow valuation

Free cash flow to the firm is positive in every forecast year, rising from Rs 4,394 crore in FY2026-27 to Rs 14,282 crore in FY2030-31. The first year is depressed by a Rs 2,150 crore working capital outflow as the negative working capital position normalises against a larger revenue base.

Terminal growth is 6.99%, the same 65% of nominal GDP applied to Ambuja, so the two companies are treated consistently. Terminal reinvestment equals g times invested capital, which forces a genuine steady state and is what allows all five methods to reconcile.

Exhibit U3 Free cash flow is positive throughout

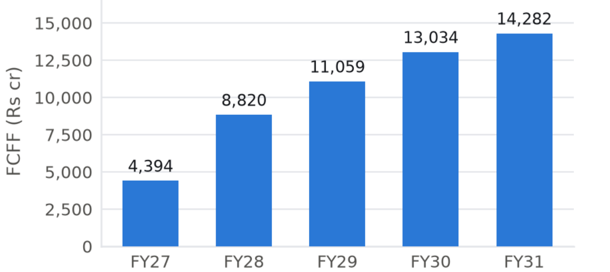

Exhibit U3. FCFF equals NOPAT plus depreciation less capex less the increase in net working capital. Source: authors' model.

The terminal return is the weak point of this model

Terminal ROIC comes out at 15.9% against a WACC of 11.43% — a permanent spread of 4.5 percentage points in perpetuity. That assumes supernormal returns forever and contradicts both competitive convergence and UltraTech's own record of a return that *fell* from 14.5% to 10.8% over four years. Golden Check 6 is recorded as a **FAIL**. Fading the terminal return to WACC plus 0.5% would take the value from Rs 5,024 to roughly Rs 4,560. We have not applied the fade in the headline, which means our valuation is if anything too generous and the SELL is conservative.

18.1 Result

Result

Enterprise value Rs 167,767 crore. Equity value Rs 148,047 crore. Value per share **Rs 5,024** against a traded Rs 10,745, a downside of 53.2%.

19 Method equivalence and consistency audit

All five methods return Rs 5,024 per share, with a maximum difference of zero to six decimal places. The model was independently reproduced in Python from the input assumptions, and the EVA identity — opening invested capital plus the present value of future economic value added — ties to the enterprise value exactly.

19.1 The five consistencies

***Assumptions* — *PASS*.** Growth requires reinvestment throughout. Volume is capacity times utilisation. Capex is explicit and never held flat while sales grow. The terminal year is a forced steady state.

***Risk* — *PASS*.** FCFF at WACC, CCF and APV at ρ, FCFE at K_e, EVA at WACC. Harris–Pringle constant rebalancing is stated and is now applied in the unlever, the relever and the shield alike.

***Asset* — *PARTIAL*.** Other income is excluded from EBITDA so surplus cash and investments are non-operating and added back once, and the unlevered beta is cash-corrected for the same reason. *The gap:* the India Cements stake is carried at book, the disclosed investments total does not tie to the bridge, and the stake's operations are

Exhibit U2 From enterprise value to equity

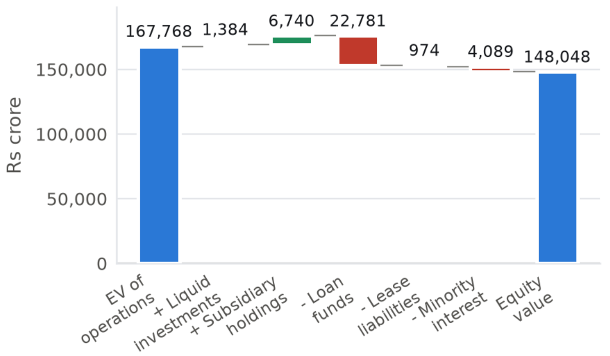

Exhibit U2. Loan funds, lease liabilities and the non-controlling interest are all deducted; liquid investments and subsidiary holdings are added. Source: authors' model; FY2025-26 balance sheet.

DCF summary

Line	Rs cr
PV of explicit FCFF, FY27–FY31	35,730
PV of terminal value	132,037
Enterprise value of operations	**167,767**
Add: liquid investments	1,384
Add: investments in subsidiaries & others	6,740
Less: loan funds	−22,781
Less: lease liabilities	−974
Less: non-controlling interest	−4,089
Equity value	**148,047**
Shares outstanding (crore)	29.468
Value per share (Rs)	**5,024**
Terminal value % of EV	78.7%
Implied terminal EV/EBITDA	7.52x

Source: authors' model.

Exhibit U13 Horizon length decides terminal dominance

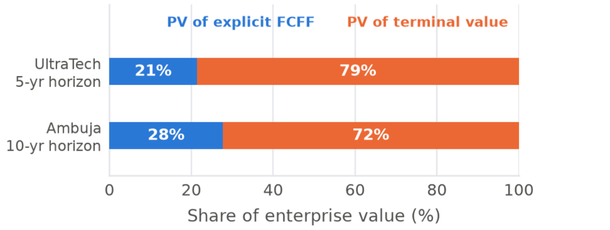

Exhibit U13. Horizon length, not optimism, explains most of the difference in terminal dominance between the two companies. Source: authors' models.

Method equivalence

Method	Rate	Rs/sh	Diff
FCFF	WACC	5,024	0
CCF	ρ	5,024	0
APV	ρ	5,024	0
FCFE	K_e	5,024	0
EVA	WACC	5,024	0
Status		**RECONCILED**	

Source: authors' model.

Mohanty Appendix 5A: the seven sanity checks

Check	Verdict
1. Revenue growth plausible vs GDP	**PASS**
2. Capacity supports projected volume	**PASS**
3. Capex sufficient to build capacity	**PARTIAL**
4. Margin expansion realism	**PASS**
5. Working capital sanity	**PASS**
6. Terminal ROIC fades toward WACC	**FAIL**
7. Terminal value dominance	**PASS**

Source: authors' assessment.

Both shortfalls run against the recommendation

Capex may be light relative to the capacity assumed, and terminal ROIC does not fade. Correcting either already inside the subsidiary block. That reconciliation is open.

***Liability* — *PASS*.** Loan funds and leases are in the WACC weights and in the bridge. Deferred tax liabilities of Rs 8,506 crore are in neither the weights nor invested capital, consistently on both sides. Non-controlling interest is deducted.

***Multiplier* — *PARTIAL*.** The implied terminal EV/EBITDA of 7.52x against peers at 19.0–19.7x does not bracket. The reverse cross-check sharpens the question rather than dissolving it, and we take a documented position.

20 Relative valuation

Against its peers, UltraTech is not obviously mispriced. At 21.1x EV/EBITDA it trades about 11% above the peer median of 19.05x; at 40.8x it is below the peer median P/E of 47.5x. On relative measures the company looks fully but not absurdly valued.

The discounted cash flow says something different: that UltraTech and its peers together look expensive against the cash they generate. Both statements can be true, because they answer different questions. Relative valuation asks whether UltraTech is priced consistently with other Indian cement companies. The DCF asks whether the cash flows justify the price at all.

The honest conclusion

UltraTech is reasonably valued relative to Indian cement, and expensive relative to the cash it generates. Anyone paying Rs 10,745 is underwriting a return on capital this company has not earned since FY2021-22.

20.1 Why we do not average the two

Averaging a DCF with a peer multiple would import into our answer the very assumption we have shown to be arithmetically impossible — that the sector can grow faster than the economy forever. The multiple is presented as an outcome to be explained, not as an input to be blended.

21 Sensitivity, scenarios and catalysts

The two-way grid opposite is rebuilt from the forecast cash flows. Across a WACC range of 9.5% to 13.5% and terminal growth from 4.0% to 7.0%, the value ranges from Rs 2,925 to Rs 9,281. No cell reaches Rs 10,745.

21.1 Catalysts

Bull side: completion of the India Cements and Kesoram brand and cost integration, which management expects to lift those assets from Rs 386 and Rs 755 per tonne toward the Rs 966 the core already earns; quarterly EBITDA-per-tonne prints confirming the guided Rs 300 per tonne cost saving; the green power share rising from 42% toward 65%; and a cement price recovery after realisation fell 6.1% in FY2024-25. *Bear side:* industry capacity additions outrunning demand and holding utilisation near 80%, which would keep return on capital pinned at its cost.

The single most informative disclosure is blended EBITDA per tonne. If it reaches Rs 1,423 by FY2027-28 the gap narrows materially; if it stalls near Rs 1,200 the DCF view strengthens.

22 Risks and what would change our mind

would *lower* the valuation. That is the direction we would rather be wrong in, and it is why we present the SELL as conservative rather than aggressive.

Exhibit U8 Rebuilt grid: no cell reaches Rs 10,745

WACC \ Terminal growth	4.0%	5.0%	6.0%	6.5%	7.0%
9.50%	5,681	6,348	7,395	8,181	9,281
10.50%	4,674	5,060	5,617	6,000	6,493
11.43%	3,981	4,221	4,549	4,763	**5,026**
12.50%	3,371	3,512	3,697	3,812	3,948
13.50%	2,925	3,010	3,118	3,184	3,260

Exhibit U8. Rebuilt two-way grid, live from the forecast cash flows. The boxed cell is the base case. The grid in the source workbook was found to discount depreciation instead of free cash flow and to build its terminal value off revenue instead of NOPAT; see Appendix B. Source: authors' model.

Exhibit U9 The most expensive name in the set

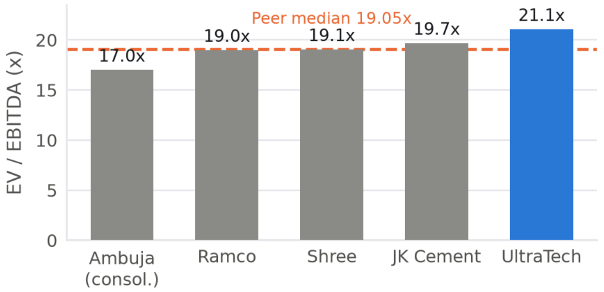

Exhibit U9. Source: peer annual reports and disclosed market capitalisations, trailing twelve months to June 2026.

Scenario view

Driver	Bear	Base	Sell-side
Utilisation by FY31	80%	86%	88%
EBITDA/t by FY31 (Rs)	1,200	1,379	1,600
Terminal ROIC	11.9%	15.9%	17.5%
Capex p.a. (Rs cr)	10,000	9,000	9,500
Value per share (Rs)	**∼3,900**	**5,024**	**∼6,130**
Gap to Rs 10,745	−64%	−53%	−43%

The sell-side column uses that house's own operating drivers, run through our DCF rather than their exit multiple. Source: authors' model.

On the sell-side target

The Rs 15,000 target we tested against is not a discounted cash flow at all: it is 19 times EV/EBITDA applied to the average of two forecast years, so it assumes the multiple rather than testing it. The stock fell from Rs 12,370 at the date of that note to Rs 10,745 by 30 March 2026. We use that house's facts and reject its forecast.

Integration delivers on schedule. If India Cements and Kesoram reach Rs 900 per tonne within three years rather than gradually, blended unit economics improve much faster than modelled and the value rises materially.

A real pricing cycle. Our realisation path grows at half the EBITDA per tonne growth rate. Cement has seen sustained price recoveries before, and one would break that assumption in the company's favour.

Our terminal treatment is too harsh, not too generous. We flag the absent ROIC fade as a failure. A reader who believes UltraTech genuinely can sustain a 4.5-point spread over its cost of capital forever would regard our headline as correct and our self-criticism as excessive.

Beta. At a bottom-up 0.958 against a regression 1.086, we again chose the figure that raises the value.

What would change our mind

Two consecutive years of after-tax ROIC above 13% accompanied by blended EBITDA per tonne above Rs 1,300 and stable realisation. That would demonstrate that the acquisitions are being fixed rather than merely absorbed, and would move the value toward the upper end of our scenario range.

Recommendation summary

Item	Value
Recommendation	**SELL**
Intrinsic value per share	Rs 5,024
Market price, 30 March 2026	Rs 10,745
Downside	−53.2%
Market capitalisation	Rs 316,633 cr
Model equity value	Rs 148,047 cr
WACC	11.43%
Terminal growth	6.99%
Explicit forecast horizon	5 years
Terminal value % of EV	78.7%
Implied terminal EV/EBITDA	7.52x
WACC implied by market price	9.17%
Value with terminal ROIC fade applied	Rs 4,560

Source: authors' model; NSE close 30 March 2026.

Classification: the easy company

UltraTech is the easy-to-value name: one dominant product, ten years of audited and internally consistent history, disclosed volume and capacity, an effective tax rate in line with statutory, and explicit management guidance on capex and cost savings. The modelling problems it posed were ordinary — choosing a horizon, handling circularity, deciding the terminal return — rather than structural.

Part III

Combined Appendix

Supporting data, workings and disclosures for both companies. Everything in Parts I and II is reproducible from what follows and from the two accompanying Excel models.

Appendix A

Comparative chapter

ONE EASY, ONE DIFFICULT Value **Ambuja Rs 99.4** | Price UltraTech Rs 5,024 | Both SELL | 31 March 2026

A Comparative chapter: one easy, one difficult

The course pairs an easy-to-value company with a difficult one. UltraTech is the easy name and Ambuja the difficult one, and the distinction is not about size or quality but about how much had to be reconstructed before any return measure became meaningful.

A.1 What made UltraTech easy

A ten-year audited standalone history that ties both ways in every year. Disclosed grey cement volume and capacity, which allow a capacity-times-utilisation forecast rather than an assumed growth rate. A reported effective tax rate of 26.1% against a statutory 25.168%, so no migration path is required. Explicit management guidance on capex and on a Rs 300 per tonne cost saving. One dominant product. The modelling problems were ordinary ones: choosing a horizon, handling circularity, and deciding what the terminal return should be.

A.2 What made Ambuja difficult

Five distinct problems, each of which had to be solved before the model could produce a number worth reading.

Two years of consolidated history. The annual report provides FY2025-26 and a restated FY2024-25. Earlier consolidated years exist only in broker research. A return trend asserted from two points is thin, and the ten-year explicit forecast rests on a two-point base.

A restated year and a fifteen-month year. FY2024-25 was restated for the Sanghi and Penna amalgamation, and the transition year to March 2023 covered fifteen months. Any multi-year growth rate taken off the reported series without adjustment is wrong.

A tax line that is a net credit. Reported tax was a credit of Rs 2,338 crore, so reported profit exceeds pre-tax profit and the effective rate is minus 71%. Every return in the report had to be recomputed at the statutory rate, and the credit decomposed into three drivers with different economics.

A merger in progress. At the valuation date the structure was a parent with listed subsidiaries; afterwards it is one entity with a 13.7% larger share count. Both bases are shown.

A capital base that is one-third goodwill. Rs 22,979 crore of goodwill and intangibles, which must sit inside invested capital for the return measure but must be excluded from terminal reinvestment.

A.3 How the five consistencies were preserved in each

In both models the same debt policy — constant D/V with continuous rebalancing — is applied in the unlever, the relever, the discounting of the tax shield and the construction of the net borrowing line, and in both the identity $\rho = \text{WACC} + K_d t(D/V)$ ties exactly. In both, every liability included in the cost of capital is subtracted in the bridge and none is subtracted twice. Both carry a PARTIAL on asset consistency and a PARTIAL on multiplier consistency, for different reasons: Ambuja's depreciation base does not match its depreciation charge, while UltraTech's India Cements stake has an unreconciled treatment.

Exhibit C1 Both forecasts assume returns improve

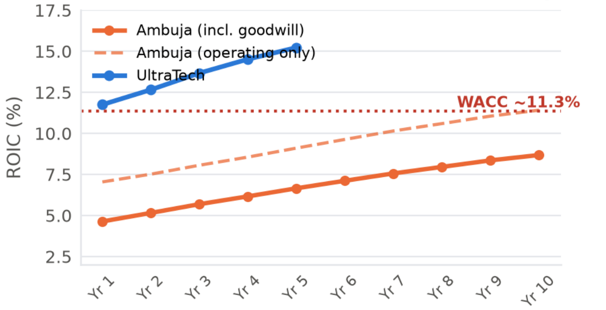

Exhibit C1. Both forecasts assume returns improve. Ambuja's never crosses the cost of capital on the goodwill-inclusive measure; UltraTech's starts above it. Source: authors' models.

Exhibit C3 How much of the capital base was bought

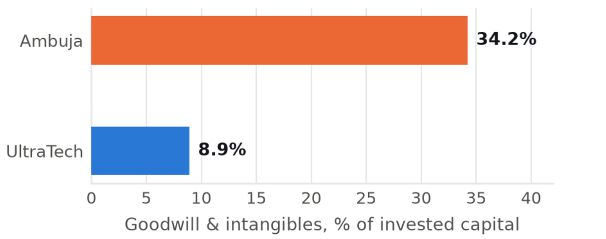

Exhibit C3. The structural difference between the two companies in one number. Source: FY2025-26 annual reports.

Exhibit C4 Both names screen expensive on cash flow

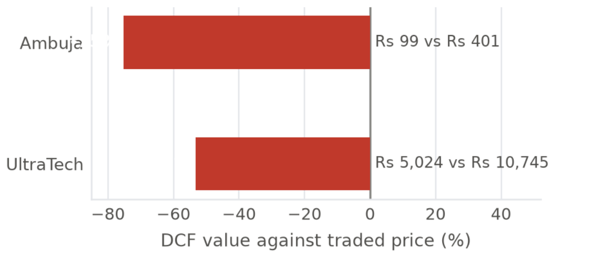

Exhibit C4. Source: authors' models; NSE closes 30 March 2026.

The two companies side by side

	Ambuja	UltraTech
Classification	Difficult	Easy
Years of usable history	2	10
Explicit forecast horizon	10 yr	5 yr
Basis	Consol.	S/A core
Volume FY26 (Mn.T)	74.0	140.8
Utilisation FY26	67.9%	81.6%
EBITDA per tonne (Rs)	886	1,097
ROIC FY26, incl. goodwill	3.3%	10.8%
Goodwill % of invested capital	34.2%	8.9%
WACC	11.36%	11.43%
Terminal growth	6.99%	6.99%
Terminal ROIC	11.9%	15.9%
Terminal value % of EV	72.3%	78.7%
Implied terminal EV/EBITDA	4.65x	7.52x
Traded EV/EBITDA	17.0x	21.1x
Price / book	1.67x	4.24x
Return on equity	3.8%	10.4%
Value per share (Rs)	**99.4**	**5,024**
Market price (Rs)	**400.90**	**10,745**
Downside	**−75.2%**	**−53.2%**

Ambuja consolidated; UltraTech standalone core with subsidiaries added. Source: authors' models.

A.4 Why two SELLs are consistent rather than contradictory

The obvious objection is that Ambuja trades *below* the peer median on EV/EBITDA while UltraTech trades above it, so they cannot both be expensive. The steady-state identity resolves it. In a steady state, enterprise value over invested capital equals $(\text{ROIC} - g)/(\text{WACC} - g)$. Applying it to each company's own terminal return gives a justified EV/IC of 2.02x for UltraTech and 1.13x for Ambuja. At traded prices the actual figures are 3.31x and 1.66x, with invested capital measured including goodwill for both. So UltraTech's price is about 1.6 times what its own terminal return justifies, and Ambuja's about 1.5 times — and Ambuja's terminal return is itself the more speculative of the two, because it requires a crossing the company has never achieved.

The claim we are making

We are not claiming Ambuja is mispriced against its sector. We are claiming the sector is mispriced against the cash it generates, and that Ambuja is the member with the weakest returns. On today's return on capital, Ambuja's justified multiple of invested capital is *negative*: at a 3.3% return and 7.0% growth every rupee reinvested destroys value, so no positive multiple of invested capital is warranted at all.

A.5 The known inconsistency between the two models

UltraTech holds 74.99% of the listed India Cements and is modelled from a standalone core with the subsidiary block carried explicitly. Ambuja holds 50.05% of the listed ACC and is modelled consolidated. The reason is data availability rather than principle: UltraTech publishes a ten-year standalone history and no comparable consolidated one, while Ambuja's consolidated statements were available and its standalone accounts exclude more than a third of the business. The irony is that UltraTech's stake is the more controlling of the two.

The right resolution before submission is to consolidate both or to value both by sum of the parts. Until that is done this is a disclosed weakness rather than a hidden one, and its effect is quantified: UltraTech's omitted subsidiary block is under 10% of group EBITDA, against 55% at Ambuja.

Exhibit C2 What the price pays vs what the return justifies

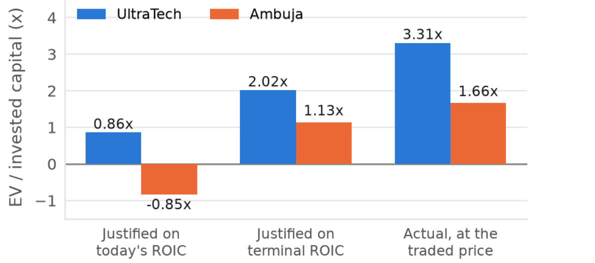

Exhibit C2. The steady-state identity $EV/IC = (\text{ROIC} - g)/(\text{WACC} - g)$ evaluated on each company's own numbers. Ambuja's justified multiple on today's return is negative because its return sits below its growth rate. Source: authors' models.

Exhibit C5 The multiplier-consistency gap, both names

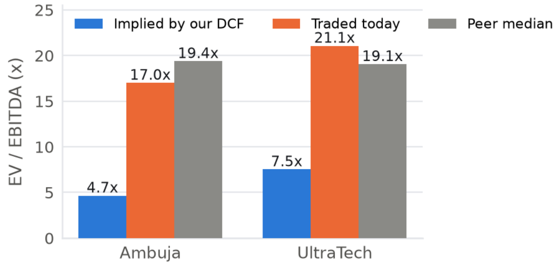

Exhibit C5. The multiplier-consistency gap for both names. In each case the multiple our model implies is far below both the traded and the peer multiple, and in each case we take a documented position rather than adopt the peer figure. Source: authors' models; peer annual reports.

Exhibit C6 Consistency and sanity checks, as recorded

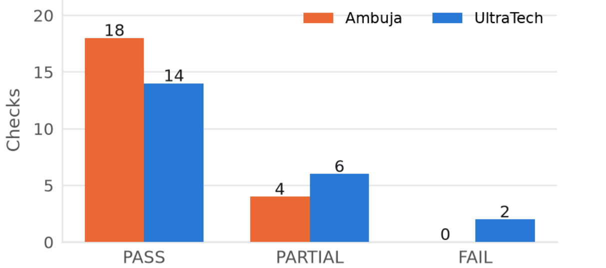

Exhibit C6. The five consistencies plus the ten-point audit checklist plus the seven Appendix 5A sanity checks, as recorded for each company. Source: authors' assessment.

B Model audit log and corrections applied

The models supplied for this report were audited independently: both were rebuilt from their input assumptions in Python, and every output was compared cell for cell. The rebuild reproduced Ambuja's published value to the paisa and UltraTech's to within 2.5 paise, and reproduced Ambuja's sensitivity grid exactly. That agreement is what gave the discrepancies below their weight — where the rebuild and the workbook differ, the workbook contains an error.

#	Where	Severity	Finding	Action taken
1	UTCL Sensitivity grid	HIGH	The two-way grid discounts P&L row 17 (depreciation) instead of row 24 (FCFF), builds its terminal value off row 14 (revenue) instead of row 21 (NOPAT), and omits the non-controlling interest from the bridge. It prints Rs 27,314–117,876 per share against a base case of Rs 5,148.	Rebuilt. Exhibit U8 is the corrected grid. Fixed in the corrected workbook.
2	UTCL Source-Data NOPAT	HIGH	Historical NOPAT is computed as EBIT $\times(1-$ Assumptions!$C4)$, but the tax rate lives in `B4`; `C4` is empty, so NOPAT equals EBIT and the published ten-year ROIC series is pre-tax.	Corrected to `B4`. Exhibit U4 uses the after-tax series (FY26: 10.8%, not 14.4%).
3	Both, beta relever	HIGH	Both workbooks state Harris–Pringle constant rebalancing and discount the tax shield at ρ, but relever beta with the fixed-debt Hamada formula. Ambuja's formula additionally carries a sign error, computing $(1+t)$ where even Hamada needs $(1-t)$.	Relevered as $\beta_U(1+D/E)$ throughout, consistent with the stated debt policy. Effect: Ambuja Rs 98.85 $\rightarrow$ Rs 99.42; UltraTech Rs 5,148 $\rightarrow$ Rs 5,024.
4	AMB Source-Data	MED	`C32` (EBIT) is `=C29-C7` where `C29` is a blank label row, so EBIT prints $-3{,}570$ instead of 2,989. `C34` (effective tax rate) references the same blank cell and prints 100%.	Repointed to `C31` and `C33`. Display-only cells; no valuation effect.
5	AMB Terminal	MED	`B21`, the implied exit EV/EBITDA, is `=B19/B20` where `B19` is empty, so it prints 0.	Repointed to `B17`. Prints 4.65x, matching the FCFF sheet.
6	AMB Relative Valuation	MED	`C48` hardcodes a DCF value of Rs 114.87 that no longer matches the live model, and the DCF-implied EV/EBITDA in `C54` is computed from it.	Replaced with a live link to the FCFF sheet.
7	Both, narrative text	MED	Substantial prose in both workbooks is stale relative to the live cells: Ambuja's Summary conclusion cites Rs 122 and Rs 151 against live values of Rs 98.85 and Rs 131.42, a WACC of 11.03% against 11.37%, and a sensitivity range of Rs 116–134 against a live Rs 95–108; its Dashboard cites a terminal growth of 5.0% at 46.46% of nominal GDP against a live 6.99% at 65%. UltraTech's Summary cites Rs 4,750 and a 5% terminal growth; its Dashboard cites Rs 4,747.56.	All narrative in this report is written from the live cells. Workbook prose refreshed in the corrected versions.
8	UTCL terminal fade switch	MED	The audit log records Golden Check 6 as "FIXED ... switched ON by default," but the switch ships at 0 (off) and the Dashboard correctly records the check as a FAIL. The two statements contradict each other.	Reported as shipped: fade off, check FAILs. The faded value of Rs 4,560 is disclosed in Part II.
9	UTCL India Cements	MED	The bridge adds Rs 6,739.51 crore of investments. The balance sheet reports Rs 12,541 crore, of which India Cements is Rs 8,970 crore; the Entity Build sheet derives "other investments" as Rs 3,570.83 crore. None of the three tie. India Cements' operations are also already inside the forecast's subsidiary block.	Left as modelled and flagged. Adding the stake on top would double-count roughly Rs 197 per share. Recorded as an open asset-consistency item.
10	AMB Audit Log, Entity Build, Dashboard	LOW	The audit-log block, the tie-out check and the seven Golden Checks are each duplicated five times on their sheets.	De-duplicated in the corrected workbook.

Correction bridge: Ambuja

Step	Rs/share
As received (workbook)	98.85
Hamada relever with correct $(1-t)$	99.99
Harris–Pringle relever, $\beta_U(1+D/E)$	**99.42**
Items 4, 5, 6, 10 (display and staleness)	no effect
Reported in this document	**99.42**

Source: authors' analysis.

Correction bridge: UltraTech

Step	Rs/share
As received (workbook)	5,148.18
Items 1, 2 (grid and historical ROIC)	no effect on DCF
Harris–Pringle relever, $\beta_U(1+D/E)$	**5,024.02**
Memo: with terminal ROIC fade applied	4,560
Reported in this document	**5,024.02**

Source: authors' analysis.

The recommendation does not turn on any of this

Every correction above is immaterial to the conclusion. The largest moves Ambuja by 0.6% and UltraTech by 2.4%, against downside of 75% and 53% respectively. They are reported in full because a valuation that cannot survive its own audit is not worth presenting, not because they change the answer.

C The five consistencies, side by side

#	Consistency	AMB	Ambuja: evidence and gap	UTCL	UltraTech: evidence and gap
1	Assumptions	PASS	Volume is capacity $\times$ utilisation, so growth is tied to physical assets. Capex is an explicit input anchored to the expansion plan. Terminal year forced to steady state with reinvestment $= g\times$ operating invested capital.	PASS	Same construction. Growth requires reinvestment throughout; capex is explicit and anchored to guidance; terminal year is a forced steady state.
2	Risk	PASS	FCFF at WACC; CCF and APV at ρ; FCFE at K_e; EVA at WACC. Constant D/V rebalancing applied in unlever, relever and shield. $\rho =$ WACC $+ K_d t(D/V)$ ties.	PASS	Identical treatment. At a 6.1% D/V the policy choice actually matters here, and it is applied consistently.
3	Asset	PARTIAL	Other income excluded from EBITDA; cash non-operating and added back once; cash-corrected beta. **Gap:** depreciation charged at 8% of operating fixed assets while the historical charge includes amortisation of a Rs 9,433 cr intangible balance held flat.	PARTIAL	Same treatment of cash and beta. **Gap:** the India Cements stake is at book, the investments total does not tie to the bridge, and the stake's operations are already inside the subsidiary block.
4	Liability	PASS	Borrowings and leases in the weights and in the bridge. Deferred tax in neither the weights nor invested capital, but deducted in the bridge. NCI deducted (worth Rs 51/share).	PASS	Loan funds and leases in both. Deferred tax of Rs 8,506 cr in neither, consistently on both sides. NCI of Rs 4,089 cr deducted.
5	Multiplier	PARTIAL	Implied terminal EV/EBITDA 4.65x against a peer median of 19.4x. Peer multiple solved back implies g of 10.99%, above nominal GDP of 10.76%. Position taken; gap real.	PARTIAL	Implied 7.52x against 19.05x. Peer multiple implies g of 9.8%, or 91% of nominal GDP in perpetuity. Position taken; gap real.

C.2 The ten-point audit checklist

#	Check	AMB	UTCL	Note
1	Five methods reconcile within 0.5%	PASS	PASS	Both reconcile to six decimal places, and both were reproduced independently.
2	WACC recomputes; market-value weights; circularity handled	PASS	PASS	Ambuja: immaterial at 0.87% D/E. UltraTech: iterated per SSRN 413240, 1.0% difference.
3	Debt grows at g where constant D/V assumed	PASS	PASS	Debt set to $D/V\times$ EV at every date; net new borrowing line visible on the FCFE sheet.
4	Cash and investments: one treatment throughout	PASS	PARTIAL	UltraTech's India Cements treatment is the open item.
5	Every liability in WACC subtracted in the bridge	PASS	PASS	Verified line by line in both.
6	Terminal: g < WACC, built multiplicatively, reinvestment $=$ g/RONIC	PASS	PARTIAL	g built as $(1+6.5\%)(1+4.0\%)-1$ taken at 65% in both. UltraTech's terminal ROIC does not fade.
7	Tax: marginal statutory rate	PASS	PASS	25.168% under s.115BAA in both. Ambuja's reported rate is unusable; UltraTech's 26.1% is in line.
8	No DDT on post-FY2020 flows	PASS	PASS	None applied. DDT abolished with effect from FY2020-21.
9	Every input traces to the source log	PARTIAL	PARTIAL	Open items: Ambuja's merger terms; UltraTech's capacity, utilisation and capex guidance, and its derived standalone capacity of 172.5 Mn.T.
10	Sensitivity tables live-linked	PASS	FAIL	Ambuja's grid is correct and live. UltraTech's was found broken (item B1) and has been rebuilt.

D Cost of capital workings, both companies

Shared inputs

Input	Value
10-yr G-Sec par yield, w/e 20-Mar-26	6.85%
India sovereign default spread	1.87%
Risk-free rate, default-free rupee	**4.98%**
India equity risk premium	7.08%
of which mature market	4.23%
of which India country risk	2.85%
Unlevered beta, building materials	0.900
number of firms in the sample	469
Statutory tax rate, s.115BAA	25.168%
Long-run real GDP growth	6.50%
Long-run inflation (RBI CPI target)	4.00%
Nominal GDP, $(1+r)(1+i)-1$	**10.76%**
Terminal g as % of nominal GDP	65.0%
Terminal growth rate	**6.994%**

Source: RBI/FBIL Ratios and Rates release 27-Mar-2026; Damodaran, NYU Stern, January 2026.

Company-specific

	Ambuja	UltraTech
Borrowings + leases (Rs cr)	866	20,480
Market capitalisation (Rs cr)	99,095	316,633
Market debt / equity	0.87%	6.47%
Debt / enterprise value	0.87%	6.08%
Levered beta $\beta_U(1+D/E)$	0.9079	0.9582
Cost of equity, CAPM	11.41%	11.76%
Pre-tax cost of debt	8.00%	8.34%
After-tax cost of debt	5.99%	6.24%
WACC	**11.36%**	**11.43%**
Unlevered rate ρ	**11.38%**	**11.56%**
Regression beta, 60 monthly obs.	1.151	1.086
R^2 of the regression	0.267	n/d
WACC implied by market price	8.60%	9.17%

Harris–Pringle Case 2 applied throughout. Source: company balance sheets and disclosed market capitalisations.

E Spread financial statements

Ambuja: consolidated, as reported

Rs crore	FY25R	FY26
Revenue from operations	33,989	40,446
Government grants	1,347	210
Revenue including grants	35,336	40,656
Other income	2,654	834
Finance costs	216	224
Depreciation and amortisation	2,297	3,570
PBT before exceptionals	6,125	3,599
Exceptional items	21	301
Profit before tax	6,104	3,299
Profit, owners of parent	4,303	4,728
Profit, non-controlling interest	991	909
EBITDA, uniform definition	**5,984**	**6,559**
Property, plant and equipment	25,049	33,801
Right-of-use assets	1,465	1,483
Capital work in progress	9,793	9,085
Goodwill	10,943	13,546
Other intangible assets	5,309	9,433
Equity, owners	53,579	59,347
Non-controlling interest	10,368	12,499
Borrowings, non-current	14	45
Borrowings, current	12	8
Lease liabilities	762	813
Cash and equivalents	5,043	892
Other bank balances	1,129	67
Current investments	1,822	0
Deferred tax liabilities, net	2,433	3,466

Source: FY2025-26 Integrated Annual Report, consolidated statements. FY2024-25 is the company's restated figure.

UltraTech: standalone ten-year highlights

Rs crore	FY17	FY20	FY23R	FY25	FY26
Volume (Mn.T)	48.9	77.5	100.1	125.8	140.8
Revenue	23,891	40,649	61,237	71,895	82,170
Operating expenses	18,922	31,997	50,952	59,599	66,730
EBITDA	4,969	8,652	10,286	12,296	15,439
Other income	660	727	505	693	376
Depreciation	1,268	2,455	2,773	3,739	4,055
EBIT	4,361	6,924	8,018	9,250	11,761
Interest	571	1,704	756	1,465	1,630
Profit before tax	3,790	5,220	7,262	7,785	10,131
Tax expense	1,148	−236	2,310	1,504	2,622
Net profit	2,628	5,456	4,951	6,193	7,405
Net fixed assets	24,387	49,486	63,077	83,764	89,161
Investments in subs	746	5,990	3,187	12,999	12,541
Liquid investments	8,663	5,882	6,246	3,504	5,018
Net working capital	−841	190	−3,140	−2,031	−3,071
Net worth	23,941	38,296	53,408	69,678	74,663
Loan funds	6,240	18,282	8,750	19,460	19,617
Lease liabilities	0	893	953	901	863
Deferred tax liabilities	2,774	4,077	6,258	8,198	8,506
Capital employed	**32,955**	**61,548**	**69,369**	**98,236**	**103,649**

Source: FY2025-26 Integrated and Sustainability Report, Standalone Financial Highlights. R = restated by the company.

Capital employed ties both ways in every one of the ten years: net worth plus loan funds plus leases plus deferred tax equals net fixed assets plus investments plus liquid investments plus net working capital.

F Forecast driver tables

F.1 Ambuja Cements: ten-year explicit forecast

Rs crore unless stated	FY27	FY28	FY29	FY30	FY31	FY32	FY33	FY34	FY35	FY36
Capacity (Mn.T)	112	116	119	121	123	125	127	129	131	133
Utilisation	70.0%	72.5%	75.0%	77.5%	79.5%	81.0%	82.5%	83.5%	84.5%	85.0%
Volume (Mn.T)	78.4	84.1	89.2	93.8	97.8	101.2	104.8	107.7	110.7	113.0
Realisation (Rs/t)	5,758	5,988	6,180	6,328	6,455	6,558	6,650	6,729	6,810	6,892
Revenue	45,141	50,359	55,153	59,340	63,116	66,398	69,671	72,486	75,385	77,913
EBITDA	7,710	9,061	10,357	11,513	12,599	13,559	14,498	15,366	16,227	16,985
EBITDA margin	17.1%	18.0%	18.8%	19.4%	20.0%	20.4%	20.8%	21.2%	21.5%	21.8%
EBITDA per tonne (Rs)	983	1,077	1,160	1,228	1,288	1,339	1,384	1,427	1,466	1,502
Depreciation	3,550	4,026	4,424	4,750	5,010	5,209	5,392	5,561	5,716	5,859
EBIT	4,161	5,035	5,934	6,763	7,589	8,350	9,106	9,805	10,511	11,126
NOPAT	3,114	3,768	4,440	5,061	5,679	6,248	6,814	7,337	7,866	8,326
Capex	9,500	9,000	8,500	8,000	7,500	7,500	7,500	7,500	7,500	7,500
Δ working capital	-14	-18	-16	-14	-13	-11	-11	-10	-10	-9
FCFF	-2,823	-1,189	380	1,825	3,202	3,968	4,718	5,407	6,092	6,693
Opening invested capital	67,208	73,145	78,101	82,161	85,398	87,875	90,155	92,252	94,181	95,956
ROIC incl. goodwill	4.6%	5.2%	5.7%	6.2%	6.7%	7.1%	7.6%	8.0%	8.4%	8.7%
ROIC operating only	7.0%	7.5%	8.1%	8.6%	9.1%	9.6%	10.1%	10.6%	11.0%	11.4%
EVA	-1,911	-1,931	-1,822	-1,662	-1,412	-1,124	-817	-533	-223	35

Consolidated. Volume is capacity times utilisation. Revenue is volume times realisation. EBITDA is the sum of a standalone block and a subsidiary block, each with its own margin. NOPAT is EBIT at the statutory 25.168%. Invested capital includes goodwill of Rs 22,979 crore held flat. Source: authors' model.

F.2 UltraTech Cement: five-year explicit forecast

Rs crore unless stated	FY27	FY28	FY29	FY30	FY31
Capacity (Mn.T)	186	195	205	213	220
Utilisation	82.0%	83.5%	84.5%	85.5%	86.0%
Volume (Mn.T)	152.5	162.8	173.2	182.1	189.2
EBITDA per tonne (Rs)	1,185	1,256	1,306	1,345	1,379
Realisation (Rs/t)	6,072	6,254	6,379	6,475	6,556
Standalone revenue	92,609	101,832	110,503	117,916	124,035
Subsidiary revenue	6,722	7,092	7,447	7,782	8,093
Total revenue	99,331	108,924	117,949	125,698	132,128
EBITDA	19,749	22,234	24,514	26,489	28,175
EBITDA margin	19.9%	20.4%	20.8%	21.1%	21.3%
Depreciation	5,031	5,257	5,471	5,649	5,793
EBIT	14,718	16,977	19,043	20,840	22,381
NOPAT	11,014	12,704	14,250	15,595	16,748
Capex	9,500	9,500	9,000	8,500	8,500
Δ working capital	2,150	-359	-338	-290	-240
FCFF	4,394	8,820	11,059	13,034	14,282
Opening invested capital	93,761	100,381	104,265	107,456	110,017
ROIC	11.7%	12.7%	13.7%	14.5%	15.2%
EVA	298	1,232	2,334	3,314	4,175

Standalone core plus a subsidiary block. Volume is capacity times utilisation; EBITDA is volume times EBITDA per tonne. Invested capital is the consolidated operating asset base plus net working capital, and excludes the Rs 7,909 crore of consolidated goodwill. Source: authors' model.

F.3 Terminal year, both companies

Ambuja terminal year

Line	Value
NOPAT in the terminal year (Rs cr)	8,908
Closing operating invested capital	74,610
Reinvestment $= g \times$ operating IC	5,218
Terminal FCFF	**3,690**
Implied terminal ROIC	11.94%
Implied reinvestment rate (g/ROIC)	58.6%
Terminal value, Gordon (Rs cr)	84,458
Implied exit EV/EBITDA	4.65x
Terminal ROIC less WACC	$+$0.58 pt

Source: authors' model.

UltraTech terminal year

Line	Value
NOPAT in the terminal year (Rs cr)	17,920
Closing invested capital	112,483
Reinvestment $= g \times$ IC	7,867
Terminal FCFF	**10,053**
Implied terminal ROIC	15.93%
Implied reinvestment rate (g/ROIC)	43.9%
Terminal value, Gordon (Rs cr)	231,777
Implied exit EV/EBITDA	7.52x
Terminal ROIC less WACC	$+$4.50 pt **FAIL**

Source: authors' model.

F.4 Sensitivity grids: value per share (Rs), WACC against terminal growth

Ambuja Cements

WACC \ g	2%	3%	4%	5%	6%
9%	163	173	186	206	240
10%	125	129	136	144	158
11%	95	97	100	103	108
12%	72	72	73	74	75
13%	53	53	52	52	51

Traded price Rs 400.90. No cell reaches it.

UltraTech Cement (rebuilt — see Appendix B, item 1)

WACC \ g	4.0%	5.0%	6.0%	6.5%	7.0%
9.50%	5,681	6,348	7,395	8,181	9,281
10.50%	4,674	5,060	5,617	6,000	6,493
11.43%	3,981	4,221	4,549	4,763	5,026
12.50%	3,371	3,512	3,697	3,812	3,948
13.50%	2,925	3,010	3,118	3,184	3,260

Traded price Rs 10,745. No cell reaches it. The 11.43% row is the base-case WACC.

G Method equivalence: why all five agree

The five methods are one model rearranged, and they agree only if every consistency holds. The mechanics are worth setting out, because the agreement is the proof that the model is internally sound.

FCFF at WACC is the primary build: NOPAT plus depreciation less capex less the increase in net working capital, discounted at the weighted average cost of capital, plus a Gordon terminal value.

CCF at ρ adds the interest tax shield back into the cash flow and discounts the whole capital cash flow at the unlevered rate. Because debt is set to D/V times enterprise value at every date, the shield grows with the firm and carries the same risk as the assets, which is why ρ is the correct rate.

APV at ρ separates the two: unlevered enterprise value plus the present value of the tax shield. For Ambuja the shield is worth Rs 175 crore against an enterprise value of Rs 39,833 crore — which is itself a finding. Ambuja creates essentially no value through leverage, so any argument for the shares must rest entirely on operations.

FCFE at K_e subtracts after-tax interest and adds net new borrowing. Because a constant debt ratio is assumed, net new borrowing equals g times debt in the steady state, and the equity flows grow at the same rate as the firm. This is where the most common error in the course appears — discounting a growing FCFE at a constant K_e while implicitly holding debt fixed — and the visible net borrowing line is what prevents it.

EVA at WACC is opening invested capital plus the present value of future economic value added. It reconciles only because FCFF was defined as NOPAT less the change in invested capital, and because the terminal year is a true steady state. Both conditions are necessary; drop either and the identity breaks.

Equivalence, both companies

Method	Rate	AMB	UTCL
FCFF	WACC	99.42	5,024
CCF	ρ	99.42	5,024
APV	ρ	99.42	5,024
FCFE	K_e	99.42	5,024
EVA	WACC	99.42	5,024
Max difference		**0.00**	**0.00**

Source: authors' models, independently reproduced.

APV decomposition

Rs crore	AMB	UTCL
Unlevered enterprise value	39,658	163,214
PV of interest tax shield	175	4,554
Enterprise value	**39,833**	**167,767**
Shield as % of EV	0.4%	2.7%

The tax shield is trivial for Ambuja and small for UltraTech. Source: authors' models.

What we did to check this

Both models were rebuilt from their input assumptions in a separate Python implementation that shares no code with the workbooks. The rebuild reproduced Ambuja's value to the paisa, UltraTech's to within 2.5 paise, Ambuja's published sensitivity grid cell for cell, and the EVA-to-enterprise-value identity for both. A model that only agrees with itself has not been checked.

H Peer set and relative valuation data

Peer set, TTM to June 2026 (Ambuja FY2025-26 consolidated)

Rs crore	Ambuja	UTCL	Shree	JK Cem	Ramco
Market cap	99,095	316,633	83,058	39,252	21,939
Net debt	−93	16,444	−6,157	5,717	3,644
Non-controlling int.	12,499	0	0	0	0
Enterprise value	111,501	333,077	76,901	44,969	25,583
EBITDA	6,559	15,817	4,037	2,284	1,348
Revenue	40,446	86,070	19,985	13,621	9,211
Normalised PAT	2,260	7,762	1,534	1,096	178
Net worth	59,347	74,663	22,512	6,961	8,142
Shares (crore)	247.18	29.47	3.61	7.73	23.63
EV/EBITDA	**17.0**	**21.1**	**19.1**	**19.7**	**19.0**
EV/Sales	2.76	3.87	3.85	3.30	2.78
P/E, normalised	43.9	40.8	54.2	35.8	122.9
P/B	1.67	4.24	3.69	5.64	2.69
ROE	3.8%	10.4%	6.8%	15.7%	2.2%
Basis of accounts	Consol.	S/A	S/A	S/A	S/A

Every figure from the company's own annual report and disclosed market capitalisation. Source: company reports.

Reverse cross-check: what an exit multiple implies

Exit EV/EB	Implied g	Verdict
19.05x (peer median)	9.8%	91% of GDP
15.0x	9.4%	Implausible
12.0x	8.8%	Implausible
10.0x	8.1%	Stretching
8.0x	6.8%	Arguable
7.52x (our model)	**6.99%**	**Base case**

UltraTech, WACC 11.43%, nominal GDP 10.76%. Source: authors' model.

Why the peer median is rejected rather than adopted

A peer median EV/EBITDA of 19.4x, solved back through the steady-state identity, requires perpetual growth of 10.99% for Ambuja and 9.8% for UltraTech, against nominal GDP of 10.76%. A company that grows faster than the economy forever eventually becomes the economy. Adopting the peer multiple would require us to contradict our own central argument, so we reject it and say why.

I Source log

Every input cell in both models traces to a row below. Rows marked OPEN are items that must be re-sourced before submission. No data anywhere in either workbook comes from moneycontrol, screener.in, Yahoo Finance, investing.com, trendlyne, tijori or Wikipedia.

#	Co.	Item	Publisher	Location	Accessed
1	AMB	Consolidated P&L and balance sheet	Ambuja Cements Ltd	Integrated Annual Report 2025-26, consolidated statements	26-Aug-26
2	AMB	Volume 74 Mn.T, revenue Rs 40,656 cr	Ambuja Cements Ltd	Same report, Growth Trajectory highlights	26-Aug-26
3	AMB	Capacity 109 MTPA, target 119 MTPA	Ambuja Cements Ltd	Same report, capacity disclosure	26-Aug-26
4	AMB	Market capitalisation Rs 99,095 cr	Ambuja Cements Ltd	Same report, highlights, as at 31-Mar-2026	26-Aug-26
5	AMB	Holding in ACC 50.05%	Ambuja Cements Ltd	Same report, subsidiary listing	26-Aug-26
6	AMB	Tax note: Rs 1,179.71 cr provisions released	Ambuja Cements Ltd	Same report, note 32(ii)	26-Aug-26
7	AMB	Duty and taxes paid under protest Rs 614.10 cr	Ambuja Cements Ltd	Same report, note 53, non-current	26-Aug-26
8	AMB	**OPEN:** merger swap ratios and 13.7% dilution	Ambuja filings	Reached the model through broker research. Must be re-sourced from the scheme filing.	26-Aug-26
9	UTCL	Ten-year standalone financial highlights	UltraTech Cement Ltd	Integrated and Sustainability Report 2025-26, Standalone Financial Highlights	26-Aug-26
10	UTCL	Standalone and consolidated statements	UltraTech Cement Ltd	Same report, pp. 227–233	26-Aug-26
11	UTCL	Capital work in progress Rs 7,871.47 cr	UltraTech Cement Ltd	Same report, note 02	26-Aug-26
12	UTCL	India Cements: 23,24,16,830 shares, Rs 8,970.17 cr, 74.99%	UltraTech Cement Ltd	Same report, non-current investments note	26-Aug-26
13	UTCL	Market cap Rs 316,633 cr; March 2026 NSE close Rs 10,745	UltraTech Cement Ltd	Same report, Shareholder Information	26-Aug-26
14	UTCL	Q1 FY2026-27 unaudited standalone results	UltraTech Cement Ltd	q1fy27results.pdf, standalone results	26-Aug-26
15	UTCL	**OPEN:** capacity, utilisation, capex guidance, per-tonne split	UltraTech earnings call	Reached the model through a broker note relaying the call. Must be re-sourced from the transcript.	26-Aug-26
16	UTCL	**OPEN:** standalone capacity 172.5 Mn.T	Own derivation	Consolidated 192.3 less 5.4 overseas less India Cements 14.45. Not a disclosed figure.	26-Aug-26
17	Both	10-year G-Sec par yield 6.85%, w/e 20-Mar-2026	RBI / FBIL	Ratios and Rates release dated 27-Mar-2026	27-Aug-26
18	Both	India ERP 7.08%; sovereign default spread 1.87%	Damodaran, NYU Stern	Country Default Spreads and Risk Premiums, January 2026	26-Aug-26
19	Both	Unlevered beta 0.90, building materials, cash-corrected	Damodaran, NYU Stern	Betas by Sector (Global), January 2026, 469 firms	26-Aug-26
20	Both	Statutory tax rate 25.168%	Own assumption	Section 115BAA: 22% plus 10% surcharge plus 4% cess	26-Aug-26
21	Both	Peer financials and market capitalisations	Peer annual reports	Shree Cement, JK Cement, Ramco Cements, own FY2025-26 reports	26-Aug-26
22	Both	Price series for the beta regression	Vendor series	Supplied with an adjusted-close column, a vendor convention rather than exchange bhavcopy format. Labelled vendor-sourced.	26-Aug-26

Authoritative landing pages

Ambuja financials: `ambujacement.com/investors/financials` • UltraTech: `ultratechcement.com/investors/investor-reports` • Exchange filings: `nseindia.com/companies-listing/corporate-filings-fi` • G-Sec yields: `rbi.org.in/Scripts/BS_ViewBulletin.aspx` • ERP and default spreads: `pages.stern.nyu.edu/~adamodar/New_Home_Page/datacurrent.html` • Sector betas: `pages.stern.nyu.edu/~adamodar/New_Home_Page/datafile/Betas.html`

Deep links to individual PDFs are deliberately not given: they are unstable, and citing a precise document URL that was not actually followed would be worse than citing the page that was. Each report is identified by name, year and note reference in the table above, which is sufficient to locate the exact figure.

J Method note and glossary

J.1 The framework applied

This report follows the theoretically consistent valuation framework taught in the XLRI Business Analysis and Valuation course. Its central claim is that a valuation is correct when it preserves five consistencies — assumptions, risk, asset, liability and multiplier — and that when all five hold, every discounted cash flow variant returns the same equity value. That equivalence is not a stylistic flourish; it is the test. Where methods disagree, one of the five consistencies has been broken and the model is wrong.

Three further rules shape what follows. Relative valuation is presented after the discounted cash flow and never anchors it, because a multiple is the output of a valuation rather than its cause. Every number traces to a company annual report, an exchange filing, or a regulator or government source; no figure comes from a financial data aggregator. And where intrinsic value diverges from market price, the report names the catalysts that would close the gap rather than asserting that the market is wrong.

J.2 Glossary

FCFF — free cash flow to the firm: NOPAT plus depreciation less capital expenditure less the increase in net working capital. The cash available to all providers of capital.

NOPAT — net operating profit after tax: EBIT taxed at the marginal statutory rate, with no deduction for interest, so it measures operating performance independent of financing.

WACC — the weighted average cost of capital, at market-value weights.

ρ — the unlevered cost of capital: the return the assets would require if the firm carried no debt. Under constant rebalancing, $\rho = \text{WACC} + K_d t(D/V)$.

CCF — capital cash flow: FCFF plus the interest tax shield, discounted at ρ.

APV — adjusted present value: unlevered value plus the present value of the tax shield, valued separately.

FCFE — free cash flow to equity: FCFF less after-tax interest plus net new borrowing, discounted at the cost of equity.

EVA — economic value added: NOPAT less a capital charge of WACC on opening invested capital. Enterprise value equals opening invested capital plus the present value of all future EVA.

ROIC — return on invested capital: NOPAT over invested capital. Reported both including and excluding goodwill, because the two answer different questions.

Harris–Pringle (Case 2) — the debt policy in which the firm maintains a constant debt-to-value ratio through continuous rebalancing. Under it the tax shield carries asset risk and is discounted at ρ, and beta is relevered as $\beta_U(1 + D/E)$ with no tax term.

K Limitations and disclosures

K.1 Limitations we accept

Ambuja's history is two years deep. The consolidated return trend is asserted from two points, one of which is restated. This is the single largest weakness in Part I.

One open sourcing item each. Ambuja's merger terms and UltraTech's capacity, utilisation and capex guidance reached the models through broker research, which our policy does not admit. Both are flagged rather than quietly used, and UltraTech's standalone capacity of 172.5 Mn.T is a derivation rather than a disclosure.

The two models are not on a common basis. One is consolidated and one is a standalone core with subsidiaries added. The reason is data availability, the effect is quantified in Appendix A, and the fix is to consolidate both.

The beta regression is weak. Ambuja's regression explains 27% of variance, and the price series carries a vendor adjusted-close convention rather than exchange bhavcopy format. Bottom-up betas are used for both companies, and in both cases that choice raises the valuation rather than lowering it.

Both carry a multiplier PARTIAL. The implied terminal multiples sit far below anything cement has traded at. We have taken a documented position on that gap rather than resolved it, and a reader who takes the opposite view should say so explicitly rather than average the two answers.

UltraTech's terminal return does not fade. Recorded as a FAIL on Golden Check 6. Correcting it would lower the valuation by roughly Rs 464 per share, so the error runs against our own recommendation.

K.2 On the use of AI assistance

AI tools were used for data gathering, for spreading and cross-checking the financial statements, for the independent Python re-implementation used to audit both workbooks, and for drafting. Every figure in this document remains human-verifiable through the source log in Appendix I and reproducible from the two accompanying Excel models. The assumptions are the authors' own judgements, and the errors found in Appendix B were identified during the build rather than reported by a reviewer afterwards. No source, transcript quote or figure has been fabricated; where an input could not be obtained from an authorised source it is marked as an assumption or as an open item.

K.3 Basis and disclaimer

Valuation date 31 March 2026, with market data at the 30 March close — 31 March was not a trading day. All figures are in rupees crore unless stated. Ambuja is presented on a consolidated basis; UltraTech on a standalone core with subsidiary holdings added at the bridge. Financial year references are Indian fiscal years ending 31 March.

This document was prepared for an academic valuation exercise. It is not investment research within the meaning of any securities regulation, not a recommendation to buy or sell any security, and not advice. The authors hold no position in any company mentioned.

Reproducibility

Every exhibit in Parts I, II and III is generated directly from the accompanying models. The two corrected Excel workbooks, the chart-generation scripts and the independent Python re-implementation used for the audit in Appendix B are delivered alongside this document.